

Contract Number: MP100008169-T
Contract State: WV
Contract Process Date: 11/01/24 3:25:46 AM



TEST_AGENT_01 HILLTOP SECURITIES INC
3506 INDIAN SUMMER LANE
ARLINGTON, TX 76016

Policy Documents Contained Within

- | | | |
|--|---|--|
| ☐ Address Driver | ☐ Market Value Adjustment Endorsement | ☐ Guaranty Notice |
| ☐ Delivery Receipt | ☐ Nursing Home Waiver | ☐ IRA Endorsement |
| ☐ Welcome Letter | ☐ Terminal Illness Waiver | ☐ IRA Disclosure |
| ☐ Policy Form Cover | ☐ Term Point-to-Point with Flexible Cap Index
Strategy Endorsement | ☐ Privacy Notice |
| ☐ Policy Spec Pages | ☐ Term Point-to-Point with Flexible Participation
Rate Index Strategy Endorsement | |
| ☐ Policy Form | ☐ Premium Bonus Endorsement | |

Delaware Life Insurance Company
P.O. Box 80428
Indianapolis, IN 46280-0428
P: (800)-374-3714



CERTIFICATE/CONTRACT RECEIPT

Delaware Life Insurance Company

P.O. Box 80428

Indianapolis, IN 46280-0428

Certificate/Contract # MP100008169-T

Owner(s)/Participant(s) MARIA AUTOMATION

I hereby acknowledge receipt of the above described certificate/contract, issued by Delaware Life Insurance Company.

_____ 20_____
Date

Signature of Certificate/Contract Owner

Please use the enclosed envelope and return the signed and dated form to Delaware Life. Additionally, the form can also be emailed to AnnuityForms@delawarelife.com or it can be faxed to 800-883-9165.

Thank You



Delaware Life Insurance Company
P.O. Box 80428
Indianapolis, IN 46280-0428
P: (800)-374-3714



Welcome to Delaware Life Insurance Company!

Thank you for making Momentum Growth Plus 10SM Fixed Index Annuity a part of your retirement plan. At Delaware Life, we use innovation to empower our customers to achieve financial security.

We are focused on delivering pure value to our clients and providing you with a seamless experience. With Momentum Growth Plus 10SM your retirement savings has advantages, including:

- Multiple interest crediting strategies based on a diversified selection of indexes
- Protection of your principal while your assets accumulate
- Tax-deferred growth

This package includes your Momentum Growth Plus 10SM contract. Please take some time to review your contract and retain it with your important financial documents. Your beneficiary information is included on the following page.

For your convenience, your account details are available on our web portal, including the current values, account transactions, account documents, and more. You will receive instructions for registering for online account access under separate cover. The letter will include a code that is unique to you.

If you have any questions about your contract or its features, please contact your agent or our Customer Service team. Our service representatives are available **Monday through Friday from 8:30 a.m. to 5:00 p.m. Eastern Time** at 800-374-3714.

On behalf of the entire Delaware Life team, thank you again for placing your trust and confidence in us.

Regards,

A handwritten signature in black ink, appearing to read "Daniel Towriss".

Daniel Towriss
President and CEO
Delaware Life

Delaware Life Insurance Company
P.O. Box 80428
Indianapolis, IN 46280-0428
P: (800)-374-3714



We would like to take this opportunity to confirm your beneficiary designations.

PRIMARY BENEFICIARIES:

NAMES:	DESIGNATION %:
MARIA BENE	50%
MARIA BENETWO	50%

CONTINGENT BENEFICIARIES:

NAMES:	DESIGNATION %:
MARIA CONTBENE	50%
MARIA CONTBEN	50%

Please notify us immediately if any corrections are required. You may complete this change on our website at www.delawarelife.com.



DELAWARE LIFE INSURANCE COMPANY

Service Address
P.O. Box 80428
Indianapolis, IN 46280-0428
1-800-374-3714
www.delawarelife.com

Delaware Life Insurance Company, a stock company, agrees to pay the proceeds of this contract in accordance with the terms of this contract.

Signed for **Delaware Life Insurance Company** effective as of the Contract Date at its office in Zionsville, IN.

A handwritten signature in black ink, appearing to read "Michael S. Bloom".

Michael S. Bloom
Secretary

A handwritten signature in black ink, appearing to read "Daniel J. Towriss".

Daniel J. Towriss
President

30-DAY RIGHT TO EXAMINE CONTRACT

Within 30 days after You first receive this contract, You may cancel it for any reason by delivering or mailing it to the agent through whom it was purchased or to Us at the Service Address given above. Upon cancellation the Company will return the premium paid, less any proceeds already paid by the Company.

Any inquiries or complaints about this contract may be sent to the Service Address given above.

THIS IS A LEGAL CONTRACT – READ YOUR CONTRACT CAREFULLY

THIS CONTRACT CONTAINS SURRENDER CHARGES THAT APPLY TO WITHDRAWALS AND SURRENDERS.

THIS CONTRACT CONTAINS A MARKET VALUE ADJUSTMENT WHICH MAY RESULT IN BOTH UPWARD AND DOWNWARD ADJUSTMENTS TO WITHDRAWALS AND SURRENDERS.

THIS CONTRACT CONTAINS CONDITIONS UNDER WHICH SURRENDER CHARGES MAY BE WAIVED.

**MODIFIED SINGLE PREMIUM DEFERRED ANNUITY WITH INDEX-LINKED OPTIONS
MONTHLY INCOME AT MATURITY
DEATH BENEFIT PRIOR TO ANNUITY DATE
NON-PARTICIPATING**

THIS CONTRACT CONTAINS A FIXED ACCOUNT AND INDEX ACCOUNTS. THE ACCOUNT VALUE MAY INCREASE BASED ON THE CALCULATION OF VALUES FOR THE FIXED ACCOUNT AND THE INDEX ACCOUNTS SELECTED. WHILE THE ACCOUNT VALUE MAY BE AFFECTED BY AN EXTERNAL INDEX OR INDICES, THE CONTRACT DOES NOT PARTICIPATE DIRECTLY IN ANY STOCK OR EQUITY INVESTMENT.

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SPECIFICATIONS PAGES

CONTRACT NUMBER: MP100008169-T

OWNER: MARIA AUTOMATION

ISSUE AGE: 70

DATE OF BIRTH: 01/01/1954

ANNUITANT: MARIA AUTOMATION

ISSUE AGE: 70

DATE OF BIRTH: 01/01/1954

INSURANCE DEPARTMENT CONTACT INFORMATION:

West Virginia Offices of the Insurance Commissioner

Phone: (304) 558-3354

CONTRACT TYPE: IRA-REGULAR

CONTRACT DATE: 09/16/2024

PREMIUMS:

INITIAL PREMIUM: \$75,000.00

MINIMUM PREMIUM AMOUNT: \$500

MAXIMUM PREMIUM AMOUNT: \$1,000,000

PREMIUM BONUS ON INITIAL PREMIUM: \$7,500.00

PREMIUM PAYMENT PERIOD: 1 year

WITHDRAWAL AND SURRENDER CHARGES:

Surrender Charge Period: 10 Contract Years

Table of Withdrawal and Surrender Charge Rates by Contract Year:

Withdrawal and Surrender Charge by Contract Year										
1	2	3	4	5	6	7	8	9	10	11+
10.00%	9.00%	8.00%	7.00%	6.00%	5.00%	4.00%	3.00%	2.00%	1.00%	0%

FIRST YEAR FREE WITHDRAWAL PERCENTAGE: 10%

FREE WITHDRAWAL PERCENTAGE: 10%

MINIMUM WITHDRAWAL AMOUNT: \$250.00

MINIMUM ACCOUNT VALUE: \$5,000.00

ENDORSEMENTS:

Premium Bonus Endorsement

Bonus Percentage:	10%
Bonus Vesting Period:	10 years

The elements used in determining the Premium Bonus are guaranteed and cannot be changed by the company. There may be situations in which the Premium Bonus may not be fully earned. You should read the Premium Bonus, Effect of Withdrawals and Withdrawal and Surrender Charges provisions carefully.

Traditional/ROTH/Individual Retirement Annuity Endorsement

Market Value Adjustment Endorsement

Reference Index: Moody's Bond Indices -- Corporate Average

The elements used in determining the market value adjustment are not guaranteed and can be changed by the company, subject to the guarantees in the Market Value Adjustment Endorsement, and any such changes can affect the benefits available under the Contract.

Nursing Home Waiver Endorsement

Nursing Home Waiver Endorsement Eligibility Date: 09/16/2025

Terminal Illness Waiver Endorsement

Terminal Illness Waiver Endorsement Eligibility Date: 09/16/2025

Index Strategy Endorsements:

Term Point-to-Point with Flexible Cap	Guaranteed Minimum Index Cap Rate: .25%
Term Point-to-Point with Flexible Participation Rate	Guaranteed Minimum Index Participation Rate: 10%

Initial Protected Auto-Credit Percentage: 50%

The Protected Auto-Credit Percentage applies to all Index Accounts.

Periodic Reset Dates: Each Contract Anniversary that is 10 years after the last “crediting event,” where a “crediting event” is a Contract Anniversary on which any Index Account Credit is greater than zero

EAR Value Percentage Limit: 15%

FIXED ACCOUNT DETAILS

Guaranteed Minimum Fixed Interest Rate: 1%
 Elected Allocation Percentage of Initial Premium: 20%
 Initial Fixed Account Value: \$15,000.00
 Initial Fixed Account Bonus Value: \$1,500.00
 Initial Fixed Interest Rate: 4.6%

INDEX ACCOUNT OPTIONS

Index	Index Strategy	Term
S&P 500®	Term Point-to-Point with Flexible Cap	1 Contract Year
S&P 500® Dynamic Intraday TCA Index	Term Point-to-Point with Flexible Participation Rate	1 Contract Year
Nasdaq-100 Volatility Control 12% Index	Term Point-to-Point with Flexible Participation Rate	1 Contract Year
Barclays Aries Index	Term Point-to-Point with Flexible Participation Rate	1 Contract Year

INDEX ACCOUNT DETAILS

TERM POINT-TO-POINT WITH FLEXIBLE PARTICIPATION RATE INDEX ACCOUNT

Index: S&P 500® Dynamic Intraday TCA Index
Elected Allocation Percentage of Contract Initial Premium: 20%
Initial Protected Index Account Value: \$15,000.00
Initial Index Account Bonus Value: \$1,500.00
Initial Index Participation Rate: 108%
Initial Term Start Date: 09/16/2024
Initial Term End Date: 09/16/2025
Term: 1 Contract Year

TERM POINT-TO-POINT WITH FLEXIBLE CAP INDEX ACCOUNT

Index: S&P 500®
Elected Allocation Percentage of Contract Initial Premium: 20%
Initial Protected Index Account Value: \$15,000.00
Initial Index Account Bonus Value: \$1,500.00
Initial Index Cap Rate: 7.4%
Initial Term Start Date: 09/16/2024
Initial Term End Date: 09/16/2025
Term: 1 Contract Year

TERM POINT-TO-POINT WITH FLEXIBLE PARTICIPATION RATE INDEX ACCOUNT

Index: Nasdaq-100 Volatility Control 12% Index
Elected Allocation Percentage of Contract Initial Premium: 20%
Initial Protected Index Account Value: \$15,000.00
Initial Index Account Bonus Value: \$1,500.00
Initial Index Participation Rate: 118%
Initial Term Start Date: 09/16/2024
Initial Term End Date: 09/16/2025
Term: 1 Contract Year

TERM POINT-TO-POINT WITH FLEXIBLE PARTICIPATION RATE INDEX ACCOUNT

Index: Barclays Aries Index
Elected Allocation Percentage of Contract Initial Premium: 20%
Initial Protected Index Account Value: \$15,000.00
Initial Index Account Bonus Value: \$1,500.00
Initial Index Participation Rate: 176%
Initial Term Start Date: 09/16/2024
Initial Term End Date: 09/16/2025
Term: 1 Contract Year

Index-linked returns do not include the portion of returns generated by the underlying index that come from dividends.

The elements used in determining the credited rate from the index are not guaranteed and can be changed by the Company, subject to the guarantees in the contract, and any such changes can affect the return.

Standard & Poor's®

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Nasdaq

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SPECIAL, INCIDENTAL, PUNITIVE, INDIRECT, OR CONSEQUENTIAL DAMAGES, EVEN IF NOTIFIED OF THE POSSIBILITY OF SUCH DAMAGES.

Barclays

Neither Barclays Bank PLC ('BB PLC') nor any of its affiliates (collectively 'Barclays') is the issuer or producer of fixed index annuities and Barclays has no responsibilities, obligations or duties to policyholders in fixed index annuities. The Barclays Aries Index (the 'Index'), together with any Barclays indices that are components of the Index, is a trademark owned by Barclays and, together with any component indices and index data, is licensed for use by Delaware Life Insurance Company ("Delaware Life") as the issuer or producer fixed index annuities (the 'Issuer').

Barclays' only relationship with the Issuer in respect of the Index is the licensing of the Index, which is administered, compiled and published by BB PLC in its role as the index sponsor (the 'Index Sponsor') without regard to the Issuer or the fixed index annuities or policyholders in the fixed index annuities. Additionally, Delaware Life as issuer or producer of fixed index annuities may for itself execute transaction(s) with Barclays in or relating to the Index in connection with fixed index annuities. Policyholders acquire fixed index annuities from Delaware Life and policyholders neither acquire any interest in the Index nor enter into any relationship of any kind whatsoever with Barclays upon making an investment in fixed index annuities. Fixed index annuities are not sponsored, endorsed, sold or promoted by Barclays and Barclays makes no representation regarding the advisability of the fixed index annuities or use of the Index or any data included therein. Barclays shall not be liable in any way to the Issuer, policyholders or to other third parties in respect of the use or accuracy of the Index or any data included therein.

MATURITY DATE: 10/01/2054

GENERAL SETTLEMENT OPTIONS:

MINIMUM MODAL ANNUITY PAYMENT: \$100

MINIMUM GUARANTEED SURRENDER VALUE/NONFORFEITURE FACTORS:

NONFORFEITURE PREMIUM PERCENTAGE: 87.50%

NONFORFEITURE INTEREST RATE: 3%

SECTION I

DEFINITIONS

References in this contract to “receipt”, “receives”, or “received” by the Company mean receipt in good order at our Service Address, or at such other location (and by any such means) We identify as acceptable to Us.

Account Value - The sum of the current Fixed Account Value plus the current Index Account Values.

Annuitant(s) –The natural person(s) upon whose lifetime(s) the annuity payments may be based, as stated in the Specifications Pages.

Annuity Date – The date on which annuity payments begin under a Settlement Option. The Annuity Date may never be earlier than one year after the Contract Date.

Beneficiary – Prior to the Annuity Date, the Beneficiary is the person entitled to receive a Death Benefit payable under this contract. On and after the Annuity Date, the Beneficiary is the person entitled to receive the remaining payments, if any, following the death of an Owner. The Beneficiary will be the first among the following who is alive or in existence on the date of an Owner’s death: surviving Owner, if any, including any Owner that is a Non-Natural Person, primary Beneficiary, contingent Beneficiary or, if none of them is alive, the Owner’s estate.

Business Day – Any day that the New York Stock Exchange (“NYSE”) is open for regular trading. We will consider all transactions to be received on the next Business Day if We receive them (i) on a day that is not a Business Day or (ii) after the close of regular trading on the NYSE, which is normally 4:00 p.m. Eastern Time.

Contract Date – The date this contract becomes effective.

Contract Year, Contract Anniversary – A Contract Year is one year during the life of Your contract. A Contract Anniversary is the first day of a new Contract Year. We compute Contract Years and Anniversaries from the Contract Date. The Contract Date is not a Contract Anniversary. If Your contract is issued on February 29th, Your Contract Anniversary will be March 1st of each subsequent year.

Death Benefit – The amount that We will pay upon the death of any Owner or any Annuitant, as described in this contract. If there are joint Owners, the Death Benefit will be payable upon the first death of an Owner.

Death Benefit Date – The date on which the Company receives Due Proof of Death. If there are multiple Beneficiaries, the Death Benefit Date will be the first date on which we receive Due Proof of Death from at least one Beneficiary.

Due Proof of Death – An original or an originally certified copy of an official death certificate, or an original certified copy of a decree of a court of competent jurisdiction as to the finding of death, and, in respect of each Beneficiary, our claim form, properly completed, and any other information or documents required to make a death benefit payment.

Fixed Account – An account for which interest is credited at an annual interest rate declared by Us.

Fixed Interest Rate – On each Contract Anniversary, We will establish a current annual interest rate for the Fixed Account which will never be lower than the Guaranteed Minimum Fixed Interest Rate.

Free Withdrawal Amount – The amount available for withdrawal which is not subject to Withdrawal Assessments.

Guaranteed Minimum Fixed Interest Rate – The minimum annual interest rate that may be declared by Us for the Fixed Account, as shown in the Specifications Pages.

Index – An external index used in the calculation of interest to be credited to an Index Account under the terms of an Index Strategy Endorsement attached to this contract. The available Indices are shown in the Specifications Pages.

Index Account – An account for which interest is credited based on the combination of an Index, an Index Strategy, and a Term. The Index Strategy Endorsements attached to this contract provide the definition of Term.

Index Strategy – A methodology for calculating and crediting interest to an Index Account under the terms of an Index Strategy Endorsement attached to this contract. The available Index Strategies are shown in the Specifications Pages.

Market Value Adjustment – An adjustment made to Your Account Value that may increase or decrease the amount You receive upon a withdrawal from or surrender of Your contract before the end of the Surrender Charge Period stated in the Specifications Pages of Your contract.

Maturity Date – The date shown in the Specifications Pages when annuity payments must begin. This is the latest possible Annuity Date. The Maturity Date is based on the age of the youngest Annuitant on the Contract Date and cannot be changed.

Non-Natural Person – This is not a living person but an entity such as a trust.

Period Certain – The time period for which annuity payments are guaranteed to be paid even if the Annuitant dies prior to the end of the stated period.

Premium – Each amount paid by You and applied to this contract.

Premium Payment Period – A period of time, measured from the Contract Date, during which We will accept additional Premium. The Premium Payment Period is shown in the Specifications Pages.

Premium Tax – A tax charged by certain states. Premium tax, if applicable, will be deducted at the time You apply Your Account Value to a Settlement Option under Your contract.

Rider Fee – The charge for a Rider attached to Your contract. Any Rider Fee will be further described in the Rider.

RMD Amount – The Required Minimum Distribution amount, if any, that is required to be distributed from Your contract for the current calendar year under Section 401(a)(9) of the Internal Revenue Code (“Code”) or other provisions of federal tax law to the extent applicable to Your contract.

Service Address – The address to which all correspondence concerning Your contract should be sent. The Service Address is shown on the cover page of this contract, or as subsequently changed.

Settlement Option – An annuity payment option described in Section IV or subsequently made available under Your contract.

We, Our, Us, Company – Delaware Life Insurance Company.

Withdrawal and Surrender Charges – The charges set forth in the Specifications Pages which will be applied in the event that You make a withdrawal from Your contract or surrender Your contract. The Withdrawal and Surrender Charges do not apply to any Free Withdrawal Amount or in any case where Withdrawal Assessments are waived under the terms specified in this contract.

Withdrawal Assessments – The deduction for Withdrawal and Surrender Charges together with any Market Value Adjustment that may apply in the event You make a withdrawal from Your contract or surrender Your contract during the Surrender Charge Period.

Written Request – A request in writing signed by You, in a form satisfactory to Us, and received by Us at the Service Address.

You, Your, Owner – The Owner(s) of this contract shown in the Specifications Pages, unless subsequently changed as provided for in this contract. The Owner(s) may be someone other than the Annuitant(s). The Owner(s) may exercise all ownership rights under the contract, subject to the rights of any assignee.

SECTION II

CONTRACT VALUES

PREMIUMS

Your Initial Premium is shown in the Specifications Pages. You are not required to pay any additional Premiums. If You choose to pay an additional Premium, however, the amount of Your payment must be at least the Minimum Premium Amount shown in the Specifications Pages and We must receive it within the Premium Payment Period. The total amount of Premiums You may pay for this contract cannot exceed the Maximum Premium Amount shown in the Specifications Pages without prior approval from Us. In no event will We accept additional Premium received after the conclusion of the Premium Payment Period.

ALLOCATION OF PREMIUM

The allocation of Your Initial Premium is based on the selection You made on Your application and is shown in the Specifications Pages. If You make any additional Premium payments during the Premium Payment Period, the Premiums will be allocated to the Fixed Account. On Your next Contract Anniversary, any amounts so allocated to the Fixed Account can be reallocated as described under “Reallocation of Account Value” below.

FIXED ACCOUNT AND INDEX ACCOUNTS

The Fixed Account and the Index Accounts available on Your Contract Date are shown in the Specifications Pages. Each Index Account combines a particular Index with an Index Strategy, and a Term. We issue a separate Index Strategy Endorsement for each Index Strategy. The Company offers each Index Account in its discretion and may offer additional Index Accounts from time to time.

We may terminate or limit the availability of any Index Account such that, at the next Contract Anniversary:

1. No Account Value may be allocated to the Index Account;
2. The amount of Account Value allocated to the Index Account may be limited;
3. The amount that may be transferred into the Index Account may be limited.

The Fixed Account

Each day, the Company credits interest to the amount of Your Account Value allocated to the Fixed Account. We will credit interest daily based on an effective annual rate at least equal to the Guaranteed Minimum Fixed Interest Rate shown in the Specifications Pages.

We may, in Our discretion, credit a Fixed Interest Rate that exceeds the Guaranteed Minimum Fixed Interest Rate. The initial Fixed Interest Rate that applies to the Fixed Account is shown in the Specifications Pages. From time to time, the Company may declare a new Fixed Interest Rate that will apply to the Fixed Account.

The Index Accounts

The Index Accounts offered by the Company on Your Contract Date are shown in the Specifications Pages. We will issue an Index Strategy Endorsement for each Index Strategy We may offer. The Index Strategy Endorsement sets forth the terms for each Index Account using that Index Strategy, including the method of calculating Index Account Value and the terms for terminating the Index Accounts that use the Index Strategy.

ACCOUNT VALUE

On the Contract Date, the Account Value is equal to the sum of the Fixed Account Value and the Index Account Values, where:

1. The Fixed Account Value is equal to Your allocation of Initial Premium to the Fixed Account, as shown in the Specifications Pages; and

2. Each Index Account Value is equal to Your allocation of Initial Premium to that Index Account, as shown in the Specifications Pages.

For each day other than the Contract Date, the Account Value will be the sum of the Fixed Account Value and the Index Account Values, where:

1. The Fixed Account Value is equal to:
 - a. The Fixed Account Value last determined;
 - b. Plus the daily interest based on the then current effective annual Fixed Interest Rate credited to the Fixed Account for that day;
 - c. Plus any Premium received by the Company on that day if that day is during the Premium Payment Period;
 - d. Plus or minus any amounts reallocated into or out of the Fixed Account if that day is a Contract Anniversary;
 - e. Minus any Rider Fees taken from the Fixed Account on that day;
 - f. Minus amounts taken from the Fixed Account that day as a withdrawal or partial payment of a Death Benefit, and any Withdrawal Assessments applicable to those amounts.
2. The Index Account Value is computed for each Index Account as set forth in the Index Strategy Endorsement for the Index Strategy used by that Index Account.

REALLOCATION OF ACCOUNT VALUE

On each Contract Anniversary, You have the opportunity to reallocate Account Value among the Fixed Account and Index Accounts available at that time. If You have allocated Account Value to an Index Account that has a Term longer than one Contract Year, You can only transfer Account Value out of that Index Account on the Contract Anniversary that occurs at the end of the Term. If You request to allocate additional Account Value to an existing Index Account with a Term that does not expire on the Contract Anniversary, Your additional allocation will go into a new Index Account with a new Term, and You will not be able to transfer Your additional allocation out of that Index Account until the Contract Anniversary that occurs at the end of the new Term.

From time to time, as an administrative matter, We may offer You the option to provide Us with automatic instructions for reallocating Your Account Value on each Contract Anniversary so long as Your automatic instructions remain in effect.

We will provide You with a renewal notice showing the Index Accounts that will be available for allocation on the Contract Anniversary. If automatic instructions for reallocating Account Value are in effect, We will automatically reallocate the Account Value to restore the allocations set forth in the automatic instructions. If You do not have automatic instructions in effect, or if You wish to reallocate Your Account Value differently from automatic instructions, You must provide us with notice of Your new allocation by the deadline established in the renewal notice. You may provide notice by submitting a Written Request on Our form or, in Our discretion, by other means acceptable to Us, which may include notice by telephone or by electronic submission through Our website.

If We do not receive Your notice in a form satisfactory to Us by the deadline established in the renewal notice and You do not have automatic allocation instructions effective at that time, Your allocations will remain unchanged and You will not have another opportunity to reallocate until the end of a Term. In the event You have Account Value allocated to an Index Account that will no longer be available on the Contract Anniversary, or the amount You have allocated to an Index Account exceeds the limit, We will transfer Your Account Value allocation, or if applicable the amount of Account Value above the limit, from that Index Account to the Fixed Account unless You provide us with notice of a new allocation for that Account Value by the deadline established in the renewal notice.

DISCONTINUANCE OF OR SUBSTANTIAL CHANGE TO AN INDEX

If: (i) an Index is discontinued; (ii) We are unable to use the Index; or (iii) the calculation of the Index is changed substantially, We may substitute a comparable alternative index approved by the Interstate Insurance Product Regulation Commission. We will notify You and any assignee of any such substitution of an Index.

SURRENDER VALUE

The Surrender Value of this contract on or prior to the Annuity Date shall be equal to the Account Value adjusted by any Withdrawal Assessments.

At no time shall the Surrender Value be less than the Minimum Guaranteed Surrender Value.

MINIMUM GUARANTEED SURRENDER VALUE

The Minimum Guaranteed Surrender Value on any date equals: the accumulation, at the Nonforfeiture Interest Rate, of the Nonforfeiture Premium Percentage multiplied by the total of all Premiums paid, minus any withdrawals. For the purpose of calculating the Minimum Guaranteed Surrender Value, withdrawals would not include any Withdrawal Assessments. The Nonforfeiture Interest Rate and the Nonforfeiture Premium Percentage are shown in the Specifications Pages.

The Surrender Value, Death Benefit, and proceeds payable under a Settlement Option available under this contract will never be less than the minimum benefits required by National Association of Insurance Commissioners Standard Nonforfeiture Law for Individual Deferred Annuities, model #805, using the nonforfeiture interest rate consistent with the minimum nonforfeiture interest rate prescribed in state statute for the state in which the policy is delivered or issued for delivery.

SECTION III

PAYMENT OF PROCEEDS

ANNUITY PROVISION

You may select Your Annuity Date and commence annuity payments under a Settlement Option at any time after the first Contract Year, subject to the provisions of Section IV.

PROVISIONS IN THE EVENT OF A DEATH

This contract is intended to comply with the laws and corresponding regulations of the Code including, without limitation, Section 72(s) of the Code, as applicable, and to qualify as an annuity contract for U.S. federal tax purposes. As such, the terms of this contract will be interpreted to maintain such compliance and qualification, notwithstanding any language to the contrary. In all cases, no Owner or Beneficiary will be entitled to exercise any rights that would adversely affect the treatment of Your contract as an annuity contract under the Code and regulations thereunder.

Death of Any Owner Prior to the Annuity Date

Death Benefit

Except as provided below, if any Owner dies before the Annuity Date, We will pay the Death Benefit to the Beneficiary upon receipt of Due Proof of Death from that Beneficiary. If any Owner is a Non-Natural Person, then the death of any Annuitant is considered the death of an Owner for purposes of these Provisions in the Event of a Death. No Annuitant can be changed, except as permitted below in the Payment of Death Benefit section or Death of Any Annuitant Prior to the Annuity Date section. If any Owner is a Non-Natural Person, no Annuitant can be changed.

The amount of the Death Benefit will be equal to the greater of the Minimum Guaranteed Surrender Value and the Account Value on the Death Benefit Date, reduced by any applicable Premium Tax or similar tax. No Withdrawal Assessments will apply. Each Beneficiary's share of the Death Benefit will remain allocated among the Fixed Account and Index Accounts until the date on which we receive Due Proof of Death from that Beneficiary.

The Death Benefit will include any interest. The interest is calculated as follows:

- (a) beginning on the date that Due Proof of Death from the applicable Beneficiary is received by the Company, interest shall accrue at the rate or rates applicable to the contract for funds left on deposit with the Company or, if the Company has not established a rate for funds left on deposit, at the Two-Year Treasury Constant Maturity Rate as published by the Federal Reserve. In determining the effective annual rate or rates, the Company shall use the rate in effect on the date that the Company receives Due Proof of Death; and
- (b) additional interest at a rate of 10% annually shall begin accruing 31 days from the latest of (i), and (ii), where: (i) is the date that Due Proof of Death from the applicable Beneficiary was received by the Company, and (ii) is the date that legal impediments to payment of proceeds that depend on the action of parties other than the Company are resolved and sufficient evidence of the same is received by the Company. Legal impediments to payment include, but are not limited to (a) the establishment of guardianships and conservatorships; (b) the appointment and qualification of trustees, executors and administrators; and (c) the submission of information required to satisfy state and federal reporting requirements.

Payment of Death Benefit

If any Owner dies before the Annuity Date, the Death Benefit must be paid within five years of the Owner's death. However, each Beneficiary that is a natural person may elect by Written Request to receive their portion of the Death Benefit in equal payments over the life of such Beneficiary or over a period not extending beyond the life expectancy of such Beneficiary, provided such payments begin within one year of the Owner's death.

If the sole Beneficiary is the Owner's surviving spouse (within the meaning of U.S. federal tax law), the Beneficiary may elect to continue this contract in force as the sole Owner and, if there is no other living Annuitant, as the sole Annuitant. In this instance, the Provisions in the Event of a Death will not be applicable until the surviving spouse's subsequent death.

Death of Any Owner On or After the Annuity Date

If any Owner dies on or after the Annuity Date, the remaining value, if any, will be distributed at least as rapidly as under the Settlement Option in effect on the date of death.

Death of any Annuitant Prior to the Annuity Date

Prior to the Annuity Date, if the Owner is a Non-Natural Person, or if an Annuitant is an Owner, the rules above in the Death of Any Owner Prior to the Annuity Date section apply upon death of any Annuitant by treating the Annuitant's death as the death of an Owner. Otherwise, if an Annuitant dies, and such person is not an Owner, then the Owner(s) may name a new Annuitant except when there is a living Annuitant. If no Annuitant is so named, the Owner(s) will become the Annuitant(s).

Death of any Annuitant On or After the Annuity Date

If any Annuitant dies on or after the Annuity Date, the remaining value, if any, will be distributed at least as rapidly as under the Settlement Option in effect on the date of death.

WITHDRAWALS OR SURRENDERS

At any time on or prior to the Annuity Date, You may make withdrawals from the Account Value of this contract by Written Request. No withdrawal may be in an amount less than the Minimum Withdrawal Amount shown in the Specifications Pages. A withdrawal under this contract may be subject to Withdrawal Assessments, as explained below. Unless you direct otherwise, the withdrawn Account Value, including any Withdrawal Assessments, will be deducted proportionately from the Fixed Account, based on the Fixed Account Value, and each Index Account, based on the applicable Index Account Value.

After the Surrender Charge Period, if a withdrawal is requested that would leave the Account Value lower than the Minimum Account Value, as shown on the Specifications Pages, then the Company may treat such withdrawal as a surrender and terminate the Contract.

At any time on or prior to the Annuity Date, You may surrender this contract for its Surrender Value by Written Request. We may require that this contract accompany the Written Request for a surrender.

We reserve the right to defer payment for a period of up to six (6) months after receiving a Written Request for a withdrawal or surrender, provided that We have obtained written approval to defer payments from the chief insurance regulator of Our state of domicile.

WITHDRAWAL AND SURRENDER CHARGES

In the case of a withdrawal or surrender during the Surrender Charge Period shown in the Specifications Pages, the Withdrawal and Surrender Charges will apply. The charges shall be computed by applying the Withdrawal and Surrender Charges for the applicable Contract Year, as shown in the Specifications Pages, to 100% of the portion of Account Value withdrawn or surrendered less the Free Withdrawal Amount. The Withdrawal and Surrender Charges do not apply in any case where Withdrawal Assessments are waived under the terms specified in this contract.

FREE WITHDRAWAL AMOUNT

During the first Contract Year, the Free Withdrawal Amount is equal to the greater of:

1. The First Year Free Withdrawal Percentage, as shown in the Specifications Pages, multiplied by the total amount of Premiums paid; and
2. If Your contract was issued in connection with certain Individual Retirement Accounts or Annuities ("IRAs") or other tax qualified plans, the annual Required Minimum Distribution for Your contract as may be required and as calculated by Us under the Code and regulations thereunder. Only one tax year's Required Minimum Distribution can be taken free of charges during any one Contract Year.

During each Contract Year after the first, the Free Withdrawal Amount is equal to the greater of:

1. The Free Withdrawal Percentage shown on the Specifications Pages multiplied by the Account Value (calculated as of the last Contract Anniversary prior to withdrawal); and
2. If Your contract was issued in connection with certain IRAs or other tax qualified plans, the annual Required Minimum Distribution for Your contract as may be required and as calculated by Us under the Code and regulations thereunder. Only one tax year's Required Minimum Distribution can be taken free of charges during any one Contract Year.

The Free Withdrawal Amount will be reduced by any prior withdrawals taken during the same Contract Year. Any portion of the Free Withdrawal Amount that is not used during a Contract Year will not be available for use in future Contract Years.

SECTION IV

GENERAL SETTLEMENT OPTIONS

ELECTION

Prior to the Annuity Date, the Owner may elect:

1. to have payments made to the Owner, or any person designated at any time by the Owner, under any one of the Settlement Options listed in this contract, or any other Settlement Option then offered by Us; and
2. that settlement with a Beneficiary be made under any one of the Settlement Options consistent with the Death of Any Owner Prior to the Annuity Date section above and the Code and regulations thereunder.

If this contract is still in force on the Maturity Date shown in the Specifications Pages, and no Settlement Option has been elected, the Account Value less any applicable Premium Tax will be applied under Settlement Option Two to provide a Life Annuity with 10-Year Period Certain. In this event, if there are Joint Annuitants, the Annuitant whose life is to be referenced in determining the payments will be the youngest Annuitant.

If any Owner dies on or after the Annuity Date, the remaining payments, if any, will be paid to the Beneficiary.

AVAILABILITY OF OPTIONS

A Settlement Option may be elected only if:

1. the contract has been in effect for at least one year after the Contract Date; and
2. the contract has not yet reached the Maturity Date.

On the Annuity Date, the Account Value of Your contract, after the deduction for any withdrawal taken on that day, less any applicable Premium Tax, may be applied under one Settlement Option subject to the Minimum Modal Annuity Payment amount as shown in the Specifications Pages.

Monthly, quarterly, semi-annual, or annual payments may be elected subject to the Minimum Modal Annuity Payment. The amount of such payments will be calculated and provided upon request.

The application of proceeds to a Settlement Option is an irrevocable election.

SETTLEMENT OPTIONS

The following Settlement Options are available:

OPTION ONE - LIFE ANNUITY

Payments will be made during the lifetime of the Annuitant. All payments of any kind will cease with the last payment due prior to the death of the Annuitant. The amount of each payment will be determined by Us at the time the Settlement Option is elected. If there are Joint Annuitants, the Written Request electing this Settlement Option must specify the Annuitant whose life is to be referenced in determining the payments under this Settlement Option.

OPTION TWO - LIFE ANNUITY WITH PERIOD CERTAIN

Payments will be made for the Period Certain of ten (10) years and thereafter for the lifetime of the Annuitant. The amount of each payment will be determined by Us at the time this Settlement Option is elected. If there are Joint Annuitants, the Written Request electing this Settlement Option must specify the Annuitant whose life is to be referenced in determining the payments under this Settlement Option.

OPTION THREE - JOINT AND LAST SURVIVOR ANNUITY

Payments will be made during the joint lifetime of the Annuitant and a designated joint Annuitant and, after the death of one, during the remaining lifetime of the survivor. Payments under this Settlement Option depend on the age and sex of the Annuitant and the joint Annuitant at the Annuity Date. The amount of each payment will be determined by Us at the time this Settlement Option is elected.

INTEREST RATES AND MORTALITY TABLE

The mortality table used in determining the guaranteed minimum annuity payment rates for Settlement Options One, Two and Three is the Annuity 2000 Mortality Table projected for mortality improvements using Projection Scale G. The interest rate used is 1%.

An Adjusted Age is used to determine the applicable guaranteed minimum annuity payment rate. The Adjusted Age equals the actual age(s) of the Annuitant(s), in completed years and months, as of the Annuity Date, less an age setback. The age setback is one year for each ten year period beginning with the years 2020-2029. The age setback is one year for Annuity Dates occurring during the years 2020-2029, the age setback is two years for Annuity Dates occurring during the years 2030-2039, and so on.

The annuity payments at the time of their commencement will not be less than those that would be provided by applying the Surrender Value to purchase a single premium immediate annuity contract at purchase rates offered by the Company at that time to the same class of annuitants.

ADMINISTRATIVE PROVISIONS

Payment may also be made by any other Settlement Options then being offered by Us. The first payment under any Settlement Option shall be made on the Annuity Date unless otherwise provided in the election. In all events the first payment must be made within one payment interval from the date the amount is applied to the Settlement Option. Proof of age may be required before the first payment is made. Proof that the Annuitant is living may be required before any payment is made under any Settlement Option.

SECTION V

GENERAL PROVISIONS

THE CONTRACT

This contract is issued in consideration of the application and receipt of the Premium.

This contract and any amendments or endorsements hereto are the entire contract.

No change or waiver of any of the provisions of this contract will be valid unless made in writing by Us and signed by Our Chief Executive Officer, President, Vice President or Secretary. No other person has the authority to change or waive any provision of Your contract.

Upon notice to the Owner, the Company may modify this contract, but only if such modification (a) is necessary to make the contract comply with any law or regulation issued by a governmental agency to which the Company is subject; or (b) is necessary to assure the continued qualification of the contract under the Code or other federal or state laws relating to retirement annuities or annuity contracts. In the event of such modification, the Company may make appropriate endorsement to this contract to reflect such modification.

INCONTESTABILITY

This contract cannot be contested.

MISSTATEMENT OF AGE OR SEX

If the age or sex of any Annuitant, Beneficiary or Owner has been misstated, the amount payable by Us will be that which would be due if the true age or sex had been stated. If We make or have made any overpayments or underpayments due to the misstatement, the excess amount and interest at a rate not to exceed 6.00% per annum will be charged against, or added to payments coming due after the adjustment.

NON-PARTICIPATING

The contract is non-participating; it does not share in the profits or surplus of the Company.

CONFORMITY WITH INTERSTATE INSURANCE PRODUCT REGULATION COMMISSION (IIPRC) STANDARDS

This contract is approved under the authority of the Interstate Insurance Product Regulation Commission and issued under the Commission standards. Any provision of this contract that, on the provision's effective date is in conflict with applicable IIPRC standards for this product type in effect as of the provision's effective date of Commission contract approval is hereby amended to conform to the IIPRC standards in effect as of the provision's effective date of Commission contract approval.

CHANGE OF ANNUITANT

The Annuitant(s) may not be changed except as permitted in the Payment of Death Benefit section or the Death of Any Annuitant Prior to the Annuity Date section.

THE BENEFICIARY

The Beneficiary designation contained in the application will remain in effect unless changed by Written Request.

Subject to the rights of an irrevocable Beneficiary, the Owner may change the designation of Beneficiary. The change or revocation will not be binding upon Us until We receive Your Written Request. The change or revocation will take effect as of the date on which

the Beneficiary designation or revocation was signed, unless otherwise specified by the Owner. If an irrevocable Beneficiary has been named, the Beneficiary cannot be changed without the consent of the irrevocable Beneficiary. Any change or revocation will be without prejudice to Us on account of any payment made or any action taken by Us before We receive the Written Request. We have no liability under any change for Our actions or omissions made in good faith.

OWNERSHIP

This contract shall belong to the Owner named in the application (who may or may not be the Annuitant) or to the Owner's transferee. All ownership rights may be exercised by the Owner, subject to the rights of any assignee of record with Us.

Ownership of this contract may be changed by Written Request, unless such change is restricted by endorsement to this contract. The change will not be binding upon Us until We receive Your Written Request. The change will take effect as of the date the Written Request was signed, unless otherwise specified by the Owner. The change will be without prejudice to Us based on any payment made or action taken by Us prior to receipt and acknowledgment of the Written Request. We have no liability under any change for Our actions or omissions made in good faith.

ASSIGNMENT

The Owner may request to assign an interest in this contract by Written Request. The assignment will take effect on the date the Written Request was signed, unless otherwise specified by the Owner. In no event will the Company be responsible for the validity of the assignment. The assignment will be without prejudice to Us based on any payment made or action taken by Us prior to receipt and acknowledgement of the Written Request. We have no liability under any change for Our actions or omissions made in good faith.

STATEMENTS

We will provide You with a written statement at least once each Contract Year that shows the following information:

- the beginning and end dates of the current report period;
- the Account Value, prior to the application of any Market Value Adjustment, at the beginning and at the end of the current report period;
- the Fixed Account Value and each Index Account Value, at the beginning and at the end of the current report period, for each account to which You have allocated Account Value;
- amounts that have been credited or debited to the Account Value during the current report period, identified by type;
- the Surrender Value at the end of the current report period, along with the Market Value Adjustment amount or the Market Value Adjustment formula, if any, used to determine the final Surrender Value; and
- the amount of the Death Benefit at the end of the current report period.

The report shall be accurate as of a date not more than four months prior to the date of mailing. The Owner may request additional reports by Written Request. A charge may be assessed for each additional report, not to exceed \$25.



DELAWARE LIFE INSURANCE COMPANY

Service Address
P.O. Box 80428
Indianapolis, IN 46280-0428
1-800-374-3714
www.delawarelife.com

**MODIFIED SINGLE PREMIUM DEFERRED ANNUITY WITH INDEX-LINKED OPTIONS
MONTHLY INCOME AT MATURITY
DEATH BENEFIT PRIOR TO ANNUITY DATE
NON-PARTICIPATING**



DELAWARE LIFE INSURANCE COMPANY

P.O. Box 80428

Indianapolis, IN 46280

1-800-374-3714

MARKET VALUE ADJUSTMENT ENDORSEMENT

This Endorsement has been attached to and made a permanent part of Your contract as of the Contract Date and the provisions of this Endorsement apply in lieu of any contract provisions to the contrary.

The amount payable on withdrawals or surrenders or applied to a Settlement Option may be adjusted up or down by the application of the Market Value Adjustment. This Market Value Adjustment provision applies only throughout the Surrender Charge Period that is stated in the Specifications Pages of Your contract.

The Market Value Adjustment is equal to the amount withdrawn, surrendered, or applied to a Settlement Option, less any available Free Withdrawal Amount, times the Market Value Adjustment Factor.

The Market Value Adjustment Factor is:

$(I - J) \times N$. Where:

I = The value of the Reference Index as of the Contract Date;

J = The value of the Reference Index as of the date of Your withdrawal, surrender, or application to a Settlement Option; and

N = The number of complete months from the date of surrender or withdrawal or election of a Settlement Option to the end of the Surrender Charge Period divided by 12.

The Reference Index is the index named in the Specifications Pages of Your contract.

The value of the Reference Index on any day is the reported value of the Reference Index as of the close of trading on the New York Stock Exchange. For any day when the value of the Reference Index is not reported, We will use the most recent prior reported value of the Reference Index.

Discontinuation of or Substantial Change to the Reference Index: If the Reference Index is discontinued or the calculation of the Reference Index is changed substantially, the Company may substitute a comparable index subject to approval by the Interstate Insurance Product Regulation Commission. Before a substitute index is used, the Company will notify the Owner and any Assignee of the substitution.

The Market Value Adjustment will be determined such that the Surrender Value cannot be decreased below the Minimum Guaranteed Surrender Value. If the Market Value Adjustment results in an increase, the increase cannot exceed the maximum Market Value Adjustment that could have been deducted if the Market Value Adjustment had resulted in a decrease, as limited in the preceding sentence.

The Market Value Adjustment is not applied to the Free Withdrawal Amount or to the Death Benefit on death of the Owner. The Market Value Adjustment is not applied in any case where the Withdrawal Assessments have been waived as required by the contract or in any case after the end of the Surrender Charge Period.

This endorsement will terminate upon termination of the Contract.

Signed for Delaware Life Insurance Company at its office in Zionsville, IN.

A handwritten signature in black ink, appearing to read "Michael S. Bloom".

Michael S. Bloom
Secretary

A handwritten signature in black ink, appearing to read "Daniel J. Towriss".

Daniel J. Towriss
President



DELAWARE LIFE INSURANCE COMPANY

P.O. Box 80428
Indianapolis, IN 46280
1-800-374-3714

NURSING HOME WAIVER ENDORSEMENT

This Endorsement has been attached to and made a permanent part of Your contract as of the Contract Date and the provisions of this Endorsement apply in lieu of any contract provisions to the contrary. Subject to the provisions of this Endorsement and Your contract, We will provide the benefits described below.

There is no separate charge for this Endorsement. Waiver under this Endorsement is available on or after the first Contract Anniversary.

Eligible Nursing Home: a licensed hospital or licensed skilled or intermediate care nursing facility at which medical treatment is available on a daily basis and daily medical records are kept for each patient.

Qualifying Contract: a contract that was purchased prior to the Owner's 76th birthday and has been in force for at least one (1) year.

If Your contract is a Qualifying Contract and the Owner shown in the Specifications Pages on the Contract Date has been confined in an Eligible Nursing Home for a period of 90 continuous days beginning on or after the Contract Date, We will waive the Withdrawal Assessments in accordance with the conditions set out in this Endorsement. The withdrawal or surrender request must be made by Written Request and in a minimum amount of \$1,000.

At the time of the withdrawal or surrender request, proof of the Owner's confinement to an Eligible Nursing Home must be provided to the Company in such form as We may require. We will provide You with a written claim form within 10 working days after We receive Your Written Request for a withdrawal or surrender. If We do not provide a claim form within 10 working days, You will be deemed to have complied with the claim requirements if You submit written proof covering the occurrence, the character and the extent of the confinement for which the claim is made.

If the Company finds proof of the Owner's confinement to be insufficient, the Owner will be notified of the denial and provided with the opportunity to accept or reject the withdrawal or surrender proceeds, subject to any applicable Withdrawal Assessments.

If the Owner is a Non-Natural person, the Annuitant will be considered the Owner for the purposes of this Endorsement.

This Endorsement is subject to all the exclusions, definitions and provisions of Your contract which are not inconsistent herewith. It will terminate upon Written Request from the Owner or termination of Your contract. A termination of the Endorsement will not prejudice the waiver of any Withdrawal Assessments that occurred while the Endorsement was in force.

Signed for Delaware Life Insurance Company at its office in Zionsville, IN.

A handwritten signature in black ink, appearing to read "Michael S. Bloom".

Michael S. Bloom
Secretary

A handwritten signature in black ink, appearing to read "Daniel J. Towriss".

Daniel J. Towriss
President



DELAWARE LIFE INSURANCE COMPANY

P.O. Box 80428
Indianapolis, IN 46280
1-800-374-3714

TERMINAL ILLNESS WAIVER ENDORSEMENT

This Endorsement is attached to and made a part of Your contract as of the Contract Date. The provisions of this Endorsement apply in lieu of any contract provisions to the contrary. Subject to the provisions of this Endorsement and Your contract, We will provide the benefits described below.

There is no separate charge for this Endorsement. Waiver under this Endorsement is available on or after the first Contract Anniversary.

A Terminal Illness is any medical condition which a licensed physician certifies has reduced the Owner's expected life span to one year or less.

If the Owner shown in the Specifications Pages on the Contract Date develops a Terminal Illness, We will waive the Withdrawal Assessments in accordance with the conditions set out in this Endorsement. The withdrawal or surrender request must be made by Written Request and in a minimum amount of \$1,000.

At the time of the withdrawal or surrender request, You must provide proof of such Terminal Illness which shall include, but not be limited to, certification by a licensed physician who: (i) has examined You and is qualified to provide such certification, and (ii) is neither the Owner, the Annuitant or a family member of the Owner or the Annuitant. The term "licensed physician" means a person authorized or licensed to practice medicine in a state. The term "family member" means the Owner's spouse, spouse's parents, sons and daughters and their spouses, parents and their spouses, brothers and sisters and their spouses, grandparents and grandchildren and their spouses, domestic partners and their parents (including domestic partners of the Owner's sons and daughters, parents, brothers and sisters, grandparents and grandchildren), and any individual related to the Owner by blood or affinity whose close association with the Owner is the equivalent of a family relationship.

We will provide You with a written claim form within 10 working days after We receive Your Written Request for a withdrawal or surrender. If We do not provide a claim form within 10 working days, You will be deemed to have complied with the claim requirements if You submit written proof covering the occurrence, the character and the extent of the Terminal Illness for which the claim is made.

We reserve the right to require a second opinion and to have the Owner examined by a licensed physician of Our choosing and at Our expense. In the event the second opinion conflicts with the first, the second opinion controls.

If the Company finds proof of the Owner's Terminal Illness to be insufficient, the Owner will be notified of the denial and provided with the opportunity to accept or reject the withdrawal or surrender proceeds, subject to any applicable Withdrawal Assessments.

If the Owner is a Non-Natural person, the Annuitant will be considered the Owner for purposes of this Endorsement.

This Endorsement is subject to all the exclusions, definitions and provisions of Your contract which are not inconsistent herewith. It will terminate upon written request from the Owner or termination of Your contract. A termination of the Endorsement will not prejudice the waiver of any Withdrawal Assessments that occurred while the Endorsement was in force.

Signed for Delaware Life Insurance Company at its office in Zionsville, IN.

A handwritten signature in black ink, appearing to read "Michael S. Bloom".

Michael S. Bloom
Secretary

A handwritten signature in blue ink, appearing to read "Daniel J. Towriss".

Daniel J. Towriss
President



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Service Address
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1-800-374-3714
www.delawarelife.com

TERM POINT-TO-POINT WITH FLEXIBLE CAP INDEX STRATEGY ENDORSEMENT

This Index Strategy Endorsement is attached to and made a part of Your contract as of the Contract Date. The provisions of this Endorsement apply in lieu of any contract provisions to the contrary. Subject to the provisions of this Endorsement and Your contract, We will provide the benefits described below.

BENEFIT

This Index Strategy Endorsement adds the following Index Strategy to Your contract: **Term Point-to-Point with Flexible Cap.**

Each Index Account using this Index Strategy will earn an Index Account Credit under the terms set forth in this Index Strategy Endorsement. This Index Strategy offers the option to put at risk all or a portion of the potential credit ("Available Gain"), subject to a limit, in exchange for a higher Index Cap Rate.

All Index Accounts using this Index Strategy on the Contract Date are identified in the Specifications Pages of Your contract. You may reallocate Your Account Value to or from these Index Accounts according to the Reallocation of Account Value provision of the contract and the Reallocations section of this Index Strategy Endorsement.

DEFINITIONS

Capitalized terms not defined in this Endorsement are defined in the contract.

Available Gain – The portion of the Index Account Value that varies each day based on the Index Value and Partial Term Factor, unless You elect a Lock-In that freezes the Available Gain for the remainder of a Term. The Available Gain cannot be less than zero. The calculation of Available Gain is explained in the Calculations For An Index Account Using This Strategy section of this Index Strategy Endorsement.

Earning at Risk Value ("EAR Value") - A value used in determining the Available Gain in the Index Account. On each Term End Date, You have the option to credit to the Protected Index Account Value some or all of the interest calculated as of that day. Any portion of the calculated interest that is not credited to the Protected Index Account Value is allocated to the EAR Value. Allocations to the EAR Value will enhance the Index Cap Rate for the upcoming Term. Any allocation to the EAR Value will be at risk for the upcoming Term, and could be lost on the next Term End Date.

EAR Value Percentage Limit – A percentage of Index Account Value that limits the allowable EAR Value for a Term. The EAR Value Percentage Limit is shown in the Specifications Pages.

Index – An external index used in the calculation of interest to be credited to an Index Account under the terms of this Index Strategy Endorsement. Each Index that is available to be used with the Index Strategy provided by this Index Strategy Endorsement as of the Contract Date is listed in the Specifications Pages.

Index Account – An account for which interest is credited based on the combination of an Index, an Index Strategy, and a Term.

Index Account Credit – The interest credited to the Protected Index Account Value of an Index Account using this Index Strategy at the end of each Term and on the date any withdrawal or partial Death Benefit payment is taken from the Index Account. The Index Account Credit is calculated according to the Calculation of the Index Account Credit provision of this Index Strategy Endorsement. The Index Account Credit cannot be less than zero.

Index Account Value – The value of an Index Account that uses this Index Strategy. The Index Account Value is calculated as described in the Index Account Value provision of this Index Strategy Endorsement.

Index Cap Rate – A cap rate that is used in the calculation of the Index Interest Rate. The initial Index Cap Rate is declared on the Contract Date and guaranteed for the Term shown in the Specifications Pages. The Index Cap Rate for each future Term will be declared on each Term End Date, based, in part, on the then current ratio of the EAR Value to the Index Account Value and future anticipated experience, and guaranteed for the following Term. The Guaranteed Minimum Index Cap Rate is shown in the Specifications Pages.

Index Interest Rate – The rate used in determining the Available Gain for an Index Account using this Index Strategy. The Index Interest Rate is calculated according to the Calculation of the Index Interest Rate provision of this Index Strategy Endorsement. The Index Interest Rate may be less than zero.

Index Value – The Index Value on any day is the reported value of the Index as of the close of trading on the New York Stock Exchange on that day. For any day when the value of the Index is not reported, the Index Value is the reported value of the Index on the most recent previous day on which the value of the Index was reported.

Lock-In – An option which, if elected by You, will freeze the Available Gain for the remainder of the current Term. After a Lock-In goes into effect, the Available Gain will no longer fluctuate due to changes in the Index Value or Partial Term Factor and can only change if a withdrawal or partial Death Benefit payment is taken from the Index Account, as described in the Effect of Lock-In on Calculation of Available Gain provision of this Index Strategy Endorsement.

Partial Term Factor – A factor used in the calculation of the Available Gain to prorate any increase in the Index Value since the beginning of the Term, based on the number of elapsed days in the Term. On any day the Index Interest Rate is less than or equal to zero, the Partial Term Factor will be set equal to 1.

Periodic Reset Dates – A defined schedule of Contract Anniversaries on which the Index Account Credit will be calculated with a Protected Auto-Credit Percentage of 100%, regardless of the Protected Auto-Credit Percentage otherwise in effect at that time. The Periodic Reset Dates are shown in the Specifications Pages. On a Periodic Reset Date, the entire Available Gain will be credited to the Protected Index Account Value and the EAR Value will reset to zero for the following Term.

Protected Auto-Credit Percentage – The percentage of Available Gain to be credited to the Protected Index Account Value at the end of a Term. The initial Protected Auto-Credit Percentage that You chose is shown in the Specifications Pages. On each Periodic Reset Date, the Protected Auto-Credit Percentage will equal 100%.

Protected Index Account Value – The portion of the Index Account Value that cannot be reduced due to changes in the Index Value. The calculation of Protected Index Account Value is explained in the Calculation of Protected Index Account Value provision of this Index Strategy Endorsement.

Term –The length of time that determines the frequency of Index Account Credits. The Term, the initial Term Start Date and the initial Term End Date for each Index Account are shown in the Specifications Pages. Any allocation to an Index Account after the initial Term Start Date must occur on a Contract Anniversary, and will be subject to a new Term that begins on that Contract Anniversary.

Term End Date –The last day of a Term. Each Term End Date falls on a Contract Anniversary. The initial Term End Date is shown in the Specifications Pages.

Term Start Date –The beginning date of a Term. The initial Term Start Date is shown in the Specifications Pages. Each subsequent Term Start Date falls on a Contract Anniversary.

CALCULATIONS FOR AN INDEX ACCOUNT USING THIS STRATEGY

CALCULATION OF THE PROTECTED INDEX ACCOUNT VALUE

On the Contract Date, the Protected Index Account Value is equal to the amount of Your initial allocation to the Index Account, as shown in the Specifications Pages.

For each day other than the Contract Date, the Protected Index Account Value is equal to:

- 1) The Protected Index Account Value last determined;
- 2) Plus any Index Account Credit added to the Index Account on that day;
- 3) Adjusted for any reallocations to or from the Index Account on a Term End Date, as described in the Reallocations section of this Index Strategy Endorsement;
- 4) Minus any amounts taken from the Index Account as a withdrawal or partial payment of a Death Benefit on that day, including any Withdrawal Assessments applicable to those amounts.

CALCULATION OF THE EAR VALUE

The EAR Value is zero on the Contract Date, and remains zero for the entire first Term.

On each Term End Date, the EAR Value applicable for the subsequent Term will be calculated. The EAR Value is equal to:

- 1) The Available Gain first calculated on that day;
- 2) Minus any Index Account Credit calculated and added to the Protected Index Account Value on that day;
- 3) Adjusted for any reallocations to or from the Index Account on a Term End Date, as described in the Reallocations section of this Index Strategy Endorsement.

Once set for the Term, the EAR Value will only change if an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit. In such case, the revised EAR Value as of the day of the withdrawal or partial payment of a Death Benefit will equal: $A \times (B/C)$
where:

A = The EAR Value on the previous day;

B = The Protected Index Account Value on that day, after the reduction due to the withdrawal or payment;
and

C = The Protected Index Account Value on that day, immediately prior to the reduction due to the withdrawal or payment.

CALCULATION OF THE AVAILABLE GAIN PRIOR TO LOCK-IN

The calculation of the Available Gain will depend on whether You have elected a Lock-In. If You have not elected a Lock-In, the Available Gain will be calculated as follows for each Term:

On the Term Start Date, We will:

- (1) Set the Available Gain equal to the EAR Value that is applicable for the Term.
- (2) If a withdrawal or partial payment of a Death Benefit is taken from the Index Account on that day, calculate the Index Account Credit applicable to the withdrawal or payment, as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement, based on the Available Gain determined in (1).
- (3) If a withdrawal or partial payment of a Death Benefit is taken from the Index Account on that day, subtract the Index Account Credit calculated in (2) from the Available Gain calculated in (1) to re-determine the Available Gain for that day.

On each day during the Term other than the Term Start Date and Term End Date, We will:

- (1) Calculate the Available Gain as described in the Available Gain Formula below.
- (2) If a withdrawal or partial payment of a Death Benefit is taken from the Index Account on that day, calculate the Index Account Credit applicable to the withdrawal or payment, as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement, based on the Available Gain determined in (1).
- (3) If a withdrawal or partial payment of a Death Benefit is taken from the Index Account on that day, subtract the Index Account Credit calculated in (2) from the Available Gain calculated in (1) to re-determine the Available Gain for that day.

On the Term End Date, We will:

- (1) Calculate the Available Gain as described in the Available Gain Formula below.
- (2) Calculate the Index Account Credit, as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement, based on the Available Gain determined in (1).
- (3) After the Protected Index Account Value and EAR Value are reset, if applicable, in accordance with Your reallocation instructions, as described in the Reallocations section of this Index Strategy Endorsement, the Available Gain for the new Term Start Date, if any, will then be determined as described above.

Available Gain Formula

The Available Gain calculated pursuant to the Available Gain Formula is the greater of: zero and $(A + (B \times C \times D))$ where:

- A = the EAR Value on that day;
- B = the sum of the Protected Index Account Value and the EAR Value on that day;
- C = the Index Interest Rate calculated on that day, as described in the Calculation of the Index Interest Rate provision of this Index Strategy Endorsement; and
- D = the Partial Term Factor on that day.

If the Index Interest Rate is less than or equal to zero, the Partial Term Factor is 1. If the Index Interest Rate is greater than zero, the Partial Term Factor is the number of elapsed calendar days in the Term divided by the total number of calendar days in the Term.

EFFECT OF LOCK-IN ON CALCULATION OF AVAILABLE GAIN

Once each Term for each Index Account, You may elect to lock in the Available Gain for the remainder of that Term ("Lock-In"). The election of a Lock-In during a Term is irrevocable for the remainder of that Term.

On the Business Day We receive Your election of a Lock-In, We will calculate the Available Gain as described in the Calculation of Available Gain Prior to Lock-In provision of this Index Strategy Endorsement.

On each day during the Term thereafter, the Available Gain will not change unless a withdrawal or partial payment of a Death Benefit is taken from the Index Account. In that event, the Available Gain will be reduced by the amount of any Index Account Credit calculated that day applicable to the withdrawal or partial payment of a Death Benefit as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement.

On the Term End Date following a Lock-In, We will calculate the Index Account Credit, as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement, based on the last determined Available Gain. After such Index Account Credit is calculated, the Protected Index Account Value and EAR Value will be reset, if applicable, in accordance with Your reallocation instructions as described in the Reallocations section of this Index Strategy Endorsement. At this time, if any portion of Your Account Value remains allocated in the Index Account, a new Term begins and the Available Gain for the new Term Start Date will be determined as described in the Calculation of Available Gain Prior to Lock-In provision of this Index Strategy Endorsement. You will again have the option to elect a Lock-In at any time during the new Term.

CALCULATION OF THE INDEX ACCOUNT VALUE

On each day during the Term, the Index Account Value is equal to the Protected Index Account Value plus the Available Gain.

On each Term Start Date, if We have received Your notice of reallocation for the new Term by the deadline established in the renewal notice or if You have automatic allocation instructions effective at that time, We will determine the Index Account Value as described in the Reallocations section of this Index Strategy Endorsement.

CALCULATION OF THE INDEX INTEREST RATE

On each day during the Term, the Index Interest Rate is equal to the lesser of: $((A - B) / B)$; and C where:

- A = The Index Value on that day;
- B = The Index Value on the Term Start Date;
- C = The Index Cap Rate.

The Index Interest Rate may be less than zero.

CALCULATION OF THE INDEX ACCOUNT CREDIT

We will calculate an Index Account Credit on any day an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit and on each Term End Date, as described below.

On any day an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit prior to the Term End Date, the Index Account Credit is equal to: $(A \times B) / C$ where:

- A = the amount taken from the Index Account as a withdrawal or partial payment of a Death Benefit on that day, including any Withdrawal Assessments applicable to those amounts;
- B = the Available Gain on that day, prior to any adjustment due to the withdrawal or partial payment of a Death Benefit; and
- C = the Index Account Value on that day, prior to the withdrawal or partial payment of a Death Benefit.

On the Term End Date, the Index Account Credit is equal to the greater of: $(A \times B)$; and $(A - (C \times D))$ where:

- A = the Available Gain first calculated on that day;
- B = the Protected Auto-Credit Percentage;
- C = the Index Account Value on that day;

D = the EAR Value Percentage Limit.

Protected Auto-Credit Percentage

On any Business Day during the Term, You may change Your Protected Auto-Credit Percentage to any Protected Auto-Credit Percentage We then make available. To make a change, You must provide Us with notice of Your new Protected Auto-Credit Percentage. You may provide notice by submitting a Written Request on Our form or, in Our discretion, by other means acceptable to Us, which may include notice by telephone or by electronic submission through Our website.

However, on any Term End Date that is also a Periodic Reset Date, the Protected Auto-Credit Percentage used in the calculation of the Index Account Credit will equal 100% regardless of the Protected Auto-Credit Percentage otherwise in effect at that time.

The Protected Auto-Credit Percentage in effect will remain unchanged for each Term unless and until You provide notice of a change in a form satisfactory to Us as described above. The automatic use of a Protected Auto-Credit Percentage of 100% on a Periodic Reset Date will not change the Protected Auto-Credit Percentage chosen by You and in effect for any Term End Date that is not a Periodic Reset Date.

REALLOCATIONS

Any reallocation from an Index Account must occur on the Term End Date.

In accordance with the Reallocation of Account Value provision of Your contract, We will provide You with a renewal notice showing the Index Accounts that will be available for allocation on the Contract Anniversary. You may reallocate Your Account Value among the Fixed Account and any other Index Accounts available under Your contract for the next Term, subject to any applicable restrictions under the terms of Your contract. If we do not receive notice of your new allocation by the deadline established in the renewal notice, any Index Account Value not reallocated will begin a new Term and have a new Term Start Date.

If You provide us with notice of Your new allocation by the deadline established in the renewal notice or if You have automatic allocation instructions effective at that time, Your Fixed Account Value and Index Account values for the new Term will be calculated as follows:

The Fixed Account Value will equal the requested percentage allocation to the Fixed Account, multiplied by the Account Value.

For each Index Account, the Index Account Value will equal the requested percentage allocation to that Index Account, multiplied by the Account Value.

For each Index Account, the EAR Value will equal: $(A \times B) / C$

where:

A = the Index Account Value calculated based on the requested allocation to that Index Account, as described above;

B = the sum of EAR Values for all Index Accounts on the Term End Date, after the subtraction for any Index Account Credits but immediately prior to the adjustment for reallocations;

C = the greater of (1) the sum of Index Account Values for all Index Accounts prior to the reallocation of Index Account Value described above; and (2) the sum of Index Account Values for all Index Accounts after the reallocation of Index Account Value described above.

For each Index Account, the Protected Index Account Value will equal the Index Account Value determined above minus the EAR Value determined above.

The renewal notice will include notification as to any Index Accounts that will terminate at the end of the current Term. In the event You have Account Value allocated to an Index Account that will terminate at the end of the current Term, and You do not provide us with notice of a new allocation for Your Account Value by the deadline established in the renewal notice, We will transfer Your Index Account Value, including both the Protected Index Account Value and Available Gain, from that Index Account to the Fixed Account.

TERMINATION

An Index Account using this Index Strategy will terminate:

1. At the end of any Term with respect to Index Account Value allocated to this Index Account for such Term, if We in Our sole discretion determine to discontinue the offering of this Index Account.
2. Automatically at any time Your contract terminates.

INTEREST CREDITED TO YOUR CONTRACT UNDER THIS INDEX STRATEGY IS DETERMINED IN PART BASED ON THE INDEX. HOWEVER, THIS CONTRACT DOES NOT DIRECTLY PARTICIPATE IN THE INDEX OR IN ANY OF ITS UNDERLYING INVESTMENTS.

Signed for Delaware Life Insurance Company.



Michael S. Bloom
Secretary



Daniel J. Towriss
President



DELAWARE LIFE INSURANCE COMPANY

Service Address
P.O. Box 80428
Indianapolis, IN 46280-0428
1-800-374-3714
www.delawarelife.com

TERM POINT-TO-POINT WITH FLEXIBLE PARTICIPATION RATE INDEX STRATEGY ENDORSEMENT

This Index Strategy Endorsement is attached to and made a part of Your contract as of the Contract Date. The provisions of this Endorsement apply in lieu of any contract provisions to the contrary. Subject to the provisions of this Endorsement and Your contract, We will provide the benefits described below.

BENEFIT

This Index Strategy Endorsement adds the following Index Strategy to Your contract: **Term Point-to-Point with Flexible Participation Rate.**

Each Index Account using this Index Strategy will earn an Index Account Credit under the terms set forth in this Index Strategy Endorsement. This Index Strategy offers the option to put at risk all or a portion of the potential credit ("Available Gain"), subject to a limit, in exchange for a higher Index Participation Rate.

All Index Accounts using this Index Strategy on the Contract Date are identified in the Specifications Pages of Your contract. You may reallocate Your Account Value to or from these Index Accounts according to the Reallocation of Account Value provision of the contract and the Reallocations section of this Index Strategy Endorsement.

DEFINITIONS

Capitalized terms not defined in this Endorsement are defined in the contract.

Available Gain – The portion of the Index Account Value that varies each day based on the Index Value and Partial Term Factor, unless You elect a Lock-In that freezes the Available Gain for the remainder of a Term. The Available Gain cannot be less than zero. The calculation of Available Gain is explained in the Calculations For An Index Account Using This Strategy section of this Index Strategy Endorsement.

Earning at Risk Value ("EAR Value") - A value used in determining the Available Gain in the Index Account. On each Term End Date, You have the option to credit to the Protected Index Account Value some or all of the interest calculated as of that day. Any portion of the calculated interest that is not credited to the Protected Index Account Value is allocated to the EAR Value. Allocations to the EAR Value will enhance the Index Participation Rate for the upcoming Term. Any allocation to the EAR Value will be at risk for the upcoming Term, and could be lost on the next Term End Date.

EAR Value Percentage Limit – A percentage of Index Account Value that limits the allowable EAR Value for a Term. The EAR Value Percentage Limit is shown in the Specifications Pages.

Index – An external index used in the calculation of interest to be credited to an Index Account under the terms of this Index Strategy Endorsement. Each Index that is available to be used with the Index Strategy provided by this Index Strategy Endorsement as of the Contract Date is listed in the Specifications Pages.

Index Account – An account for which interest is credited based on the combination of an Index, an Index Strategy, and a Term.

Index Account Credit – The interest credited to the Protected Index Account Value of an Index Account using this Index Strategy at the end of each Term and on the date any withdrawal or partial Death Benefit payment is taken from the Index Account. The Index Account Credit is calculated according to the Calculation of the Index Account Credit provision of this Index Strategy Endorsement. The Index Account Credit cannot be less than zero.

Index Account Value – The value of an Index Account that uses this Index Strategy. The Index Account Value is calculated as described in the Index Account Value provision of this Index Strategy Endorsement.

Index Interest Rate – The rate used in determining the Available Gain for an Index Account using this Index Strategy. The Index Interest Rate is calculated according to the Calculation of the Index Interest Rate provision of this Index Strategy Endorsement. The Index Interest Rate may be less than zero.

Index Participation Rate – A participation rate that is used in the calculation of the Index Interest Rate. The initial Index Participation Rate is declared on the Contract Date and guaranteed for the Term shown in the Specifications Pages. The Index Participation Rate for each future Term will be declared on each Term End Date, based, in part, on the then current ratio of the EAR Value to the Index Account Value and future anticipated experience, and guaranteed for the following Term. The Guaranteed Minimum Index Participation Rate is shown in the Specifications Pages.

Index Value – The Index Value on any day is the reported value of the Index as of the close of trading on the New York Stock Exchange on that day. For any day when the value of the Index is not reported, the Index Value is the reported value of the Index on the most recent previous day on which the value of the Index was reported.

Lock-In – An option which, if elected by You, will freeze the Available Gain for the remainder of the current Term. After a Lock-In goes into effect, the Available Gain will no longer fluctuate due to changes in the Index Value or Partial Term Factor and can only change if a withdrawal or partial Death Benefit payment is taken from the Index Account, as described in the Effect of Lock-In on Calculation of Available Gain provision of this Index Strategy Endorsement.

Partial Term Factor – A factor used in the calculation of the Available Gain to prorate any increase in the Index Value since the beginning of the Term, based on the number of elapsed days in the Term. On any day the Index Interest Rate is less than or equal to zero, the Partial Term Factor will be set equal to 1.

Periodic Reset Dates – A defined schedule of Contract Anniversaries on which the Index Account Credit will be calculated with a Protected Auto-Credit Percentage of 100%, regardless of the Protected Auto-Credit Percentage otherwise in effect at that time. The Periodic Reset Dates are shown in the Specifications Pages. On a Periodic Reset Date, the entire Available Gain will be credited to the Protected Index Account Value and the EAR Value will reset to zero for the following Term.

Protected Auto-Credit Percentage – The percentage of Available Gain to be credited to the Protected Index Account Value at the end of a Term. The initial Protected Auto-Credit Percentage that You chose is shown in the Specifications Pages. On each Periodic Reset Date, the Protected Auto-Credit Percentage will equal 100%.

Protected Index Account Value – The portion of the Index Account Value that cannot be reduced due to changes in the Index Value. The calculation of Protected Index Account Value is explained in the Calculation of Protected Index Account Value provision of this Index Strategy Endorsement.

Term –The length of time that determines the frequency of Index Account Credits. The Term, the initial Term Start Date and the initial Term End Date for each Index Account are shown in the Specifications Pages. Any allocation to an Index Account after the initial Term Start Date must occur on a Contract Anniversary, and will be subject to a new Term that begins on that Contract Anniversary.

Term End Date –The last day of a Term. Each Term End Date falls on a Contract Anniversary. The initial Term End Date is shown in the Specifications Pages.

Term Start Date –The beginning date of a Term. The initial Term Start Date is shown in the Specifications Pages. Each subsequent Term Start Date falls on a Contract Anniversary.

CALCULATIONS FOR AN INDEX ACCOUNT USING THIS STRATEGY

CALCULATION OF THE PROTECTED INDEX ACCOUNT VALUE

On the Contract Date, the Protected Index Account Value is equal to the amount of Your initial allocation to the Index Account, as shown in the Specifications Pages.

For each day other than the Contract Date, the Protected Index Account Value is equal to:

- 1) The Protected Index Account Value last determined;
- 2) Plus any Index Account Credit added to the Index Account on that day;
- 3) Adjusted for any reallocations to or from the Index Account on a Term End Date, as described in the Reallocations section of this Index Strategy Endorsement;
- 4) Minus any amounts taken from the Index Account as a withdrawal or partial payment of a Death Benefit on that day, including any Withdrawal Assessments applicable to those amounts.

CALCULATION OF THE EAR VALUE

The EAR Value is zero on the Contract Date, and remains zero for the entire first Term.

On each Term End Date, the EAR Value applicable for the subsequent Term will be calculated. The EAR Value is equal to:

- 1) The Available Gain first calculated on that day;
- 2) Minus any Index Account Credit calculated and added to the Protected Index Account Value on that day;
- 3) Adjusted for any reallocations to or from the Index Account on a Term End Date, as described in the Reallocations section of this Index Strategy Endorsement.

Once set for the Term, the EAR Value will only change if an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit. In such case, the revised EAR Value as of the day of the withdrawal or partial payment of a Death Benefit will equal: $A \times (B/C)$
where:

A = The EAR Value on the previous day;

B = The Protected Index Account Value on that day, after the reduction due to the withdrawal or payment;
and

C = The Protected Index Account Value on that day, immediately prior to the reduction due to the withdrawal or payment.

CALCULATION OF THE AVAILABLE GAIN PRIOR TO LOCK-IN

The calculation of the Available Gain will depend on whether You have elected a Lock-In. If You have not elected a Lock-In, the Available Gain will be calculated as follows for each Term:

On the Term Start Date, We will:

- (1) Set the Available Gain equal to the EAR Value that is applicable for the Term.
- (2) If a withdrawal or partial payment of a Death Benefit is taken from the Index Account on that day, calculate the Index Account Credit applicable to the withdrawal or payment, as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement, based on the Available Gain determined in (1).
- (3) If a withdrawal or partial payment of a Death Benefit is taken from the Index Account on that day, subtract the Index Account Credit calculated in (2) from the Available Gain calculated in (1) to re-determine the Available Gain for that day.

On each day during the Term other than the Term Start Date and Term End Date, We will:

- (1) Calculate the Available Gain as described in the Available Gain Formula below.
- (2) If a withdrawal or partial payment of a Death Benefit is taken from the Index Account on that day, calculate the Index Account Credit applicable to the withdrawal or payment, as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement, based on the Available Gain determined in (1).
- (3) If a withdrawal or partial payment of a Death Benefit is taken from the Index Account on that day, subtract the Index Account Credit calculated in (2) from the Available Gain calculated in (1) to re-determine the Available Gain for that day.

On the Term End Date, We will:

- (1) Calculate the Available Gain as described in the Available Gain Formula below.
- (2) Calculate the Index Account Credit, as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement, based on the Available Gain determined in (1).
- (3) After the Protected Index Account Value and EAR Value are reset, if applicable, in accordance with Your reallocation instructions, as described in the Reallocations section of this Index Strategy Endorsement, the Available Gain for the new Term Start Date, if any, will then be determined as described above.

Available Gain Formula

The Available Gain calculated pursuant to the Available Gain Formula is the greater of: zero and $(A + (B \times C \times D))$ where:

- A = the EAR Value on that day;
- B = the sum of the Protected Index Account Value and the EAR Value on that day;
- C = the Index Interest Rate calculated on that day, as described in the Calculation of the Index Interest Rate provision of this Index Strategy Endorsement; and
- D = the Partial Term Factor on that day.

If the Index Interest Rate is less than or equal to zero, the Partial Term Factor is 1. If the Index Interest Rate is greater than zero, the Partial Term Factor is the number of elapsed calendar days in the Term divided by the total number of calendar days in the Term.

EFFECT OF LOCK-IN ON CALCULATION OF AVAILABLE GAIN

Once each Term for each Index Account, You may elect to lock in the Available Gain for the remainder of that Term ("Lock-In"). The election of a Lock-In during a Term is irrevocable for the remainder of that Term.

On the Business Day We receive Your election of a Lock-In, We will calculate the Available Gain as described in the Calculation of Available Gain Prior to Lock-In provision of this Index Strategy Endorsement.

On each day during the Term thereafter, the Available Gain will not change unless a withdrawal or partial payment of a Death Benefit is taken from the Index Account. In that event, the Available Gain will be reduced by the amount of any Index Account Credit calculated that day applicable to the withdrawal or partial payment of a Death Benefit as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement.

On the Term End Date following a Lock-In, We will calculate the Index Account Credit, as described in the Calculation of the Index Account Credit provision of this Index Strategy Endorsement, based on the last determined Available Gain. After such Index Account Credit is calculated, the Protected Index Account Value and EAR Value will be reset, if applicable, in accordance with Your reallocation instructions as described in the Reallocations section of this Index Strategy Endorsement. At this time, if any portion of Your Account Value remains allocated in the Index Account, a new Term begins and the Available Gain for the new Term Start Date will be determined as described in the Calculation of Available Gain Prior to Lock-In provision of this Index Strategy Endorsement. You will again have the option to elect a Lock-In at any time during the new Term.

CALCULATION OF THE INDEX ACCOUNT VALUE

On each day during the Term, the Index Account Value is equal to the Protected Index Account Value plus the Available Gain.

On each Term Start Date, if We have received Your notice of reallocation for the new Term by the deadline established in the renewal notice or if You have automatic allocation instructions effective at that time, We will determine the Index Account Value as described in the Reallocations section of this Index Strategy Endorsement.

CALCULATION OF THE INDEX INTEREST RATE

On each day during the Term, the Index Interest Rate is equal to: $(A - B) / B \times C$
where:

- A = The Index Value on that day;
- B = The Index Value on the Term Start Date;
- C = The Index Participation Rate.

The Index Interest Rate may be less than zero.

CALCULATION OF THE INDEX ACCOUNT CREDIT

We will calculate an Index Account Credit on any day an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit and on each Term End Date, as described below.

On any day an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit prior to the Term End Date, the Index Account Credit is equal to: $(A \times B) / C$
where:

- A = the amount taken from the Index Account as a withdrawal or partial payment of a Death Benefit on that day, including any Withdrawal Assessments applicable to those amounts;
- B = the Available Gain on that day, prior to any adjustment due to the withdrawal or partial payment of a Death Benefit; and
- C = the Index Account Value on that day, prior to the withdrawal or partial payment of a Death Benefit.

On the Term End Date, the Index Account Credit is equal to the greater of: $(A \times B)$; and $(A - (C \times D))$
where:

- A = the Available Gain first calculated on that day;
- B = the Protected Auto-Credit Percentage;
- C = the Index Account Value on that day;

D = the EAR Value Percentage Limit.

Protected Auto-Credit Percentage

On any Business Day during the Term, You may change Your Protected Auto-Credit Percentage to any Protected Auto-Credit Percentage We then make available. To make a change, You must provide Us with notice of Your new Protected Auto-Credit Percentage. You may provide notice by submitting a Written Request on Our form or, in Our discretion, by other means acceptable to Us, which may include notice by telephone or by electronic submission through Our website.

However, on any Term End Date that is also a Periodic Reset Date, the Protected Auto-Credit Percentage used in the calculation of the Index Account Credit will equal 100% regardless of the Protected Auto-Credit Percentage otherwise in effect at that time.

The Protected Auto-Credit Percentage in effect will remain unchanged for each Term unless and until You provide notice of a change in a form satisfactory to Us as described above. The automatic use of a Protected Auto-Credit Percentage of 100% on a Periodic Reset Date will not change the Protected Auto-Credit Percentage chosen by You and in effect for any Term End Date that is not a Periodic Reset Date.

REALLOCATIONS

Any reallocation from an Index Account must occur on the Term End Date.

In accordance with the Reallocation of Account Value provision of Your contract, We will provide You with a renewal notice showing the Index Accounts that will be available for allocation on the Contract Anniversary. You may reallocate Your Account Value among the Fixed Account and any other Index Accounts available under Your contract for the next Term, subject to any applicable restrictions under the terms of Your contract. If we do not receive notice of your new allocation by the deadline established in the renewal notice, any Index Account Value not reallocated will begin a new Term and have a new Term Start Date.

If You provide us with notice of Your new allocation by the deadline established in the renewal notice or if You have automatic allocation instructions effective at that time, Your Fixed Account Value and Index Account values for the new Term will be calculated as follows:

The Fixed Account Value will equal the requested percentage allocation to the Fixed Account, multiplied by the Account Value.

For each Index Account, the Index Account Value will equal the requested percentage allocation to that Index Account, multiplied by the Account Value.

For each Index Account, the EAR Value will equal: $(A \times B) / C$

where:

A = the Index Account Value calculated based on the requested allocation to that Index Account, as described above;

B = the sum of EAR Values for all Index Accounts on the Term End Date, after the subtraction for any Index Account Credits but immediately prior to the adjustment for reallocations;

C = the greater of (1) the sum of Index Account Values for all Index Accounts prior to the reallocation of Index Account Value described above; and (2) the sum of Index Account Values for all Index Accounts after the reallocation of Index Account Value described above.

For each Index Account, the Protected Index Account Value will equal the Index Account Value determined above minus the EAR Value determined above.

The renewal notice will include notification as to any Index Accounts that will terminate at the end of the current Term. In the event You have Account Value allocated to an Index Account that will terminate at the end of the current Term, and You do not provide us with notice of a new allocation for Your Account Value by the deadline established in the renewal notice, We will transfer Your Index Account Value, including both the Protected Index Account Value and Available Gain, from that Index Account to the Fixed Account.

TERMINATION

An Index Account using this Index Strategy will terminate:

1. At the end of any Term with respect to Index Account Value allocated to this Index Account for such Term, if We in Our sole discretion determine to discontinue the offering of this Index Account.
2. Automatically at any time Your contract terminates.

INTEREST CREDITED TO YOUR CONTRACT UNDER THIS INDEX STRATEGY IS DETERMINED IN PART BASED ON THE INDEX. HOWEVER, THIS CONTRACT DOES NOT DIRECTLY PARTICIPATE IN THE INDEX OR IN ANY OF ITS UNDERLYING INVESTMENTS.

Signed for Delaware Life Insurance Company.



Michael S. Bloom
Secretary



Daniel J. Towriss
President



DELAWARE LIFE INSURANCE COMPANY

Service Address
P.O. Box 80428
Indianapolis, IN 46280-0428
1-800-374-3714
www.delawarelife.com

PREMIUM BONUS ENDORSEMENT

This Endorsement is attached to and made part of the contract and the provisions of this Endorsement apply in lieu of any contract provision to the contrary

This Endorsement adds a Premium Bonus to Your contract. There is no charge for this Endorsement.

If You cancel Your contract pursuant to the Right To Examine Contract provision, You will not receive any Premium Bonus that was added to your contract prior to cancellation.

Signed for by Delaware Life Insurance Company.

A handwritten signature in dark ink, appearing to read "Michael S. Bloom".

Michael S. Bloom
Secretary

A handwritten signature in dark ink, appearing to read "Daniel J. Towriss".

Daniel J. Towriss
President

DEFINITIONS

Capitalized terms not defined in this Endorsement are defined in the contract, which includes the Index Strategy Endorsement(s).

Bonus Value - The portion of the Premium Bonus that is not yet vested. The Bonus Value equals the sum of the Fixed Account Bonus Value and each Index Account Bonus Value. **The Bonus Value is not available for withdrawal, surrender, or for application to any Settlement Option.**

Bonus Vesting Period - The period over which the Premium Bonus is vested. The Bonus Vesting Period is shown in the Specifications Pages.

EAR Value Percentage Limit – A percentage of the sum of the Index Account Value and Index Account Bonus Value that limits the allowable EAR Value for a Term. The EAR Value Percentage Limit is shown in the Specifications Pages.

Fixed Account Bonus Transfer - An amount, calculated on each Contract Anniversary, that represents the portion of Fixed Account Bonus Value that is transferred to the Fixed Account Value on that day.

Fixed Account Bonus Value -The portion of the Bonus Value associated with the Fixed Account.

Index Account Bonus Transfer - An amount, calculated on each Contract Anniversary for each Index Account, that represents the portion of Index Account Bonus Value that is transferred to the Index Account Value on that day. The Index Account Bonus Transfer is factored into the calculation of the EAR Value and Index Account Credit as described in this Premium Bonus Endorsement.

Index Account Bonus Value - For each Index Account, the portion of the Bonus Value associated with that Index Account.

Premium Bonus - An amount added to Your Bonus Value based on Your Initial Premium and any subsequent Premium paid by You. The Premium Bonus based on the Initial Premium is shown in the Specifications Pages.

BONUS PROVISIONS

PREMIUM BONUS

We will calculate a Premium Bonus for each Premium received. The Premium Bonus is not a Premium payment, but is considered part of interest earnings when it vests. For each Premium received, the Premium Bonus is equal to the Premium multiplied by the Bonus Percentage shown in the Specifications Pages.

Each Premium Bonus will be allocated to the Fixed Account Bonus Value and Index Account Bonus Values in the same proportion as the associated Premium. If you make a withdrawal during the Bonus Vesting Period, all or a portion of the Premium Bonus will be forfeited.

FIXED ACCOUNT BONUS VALUE

On the Contract Date, the Fixed Account Bonus Value is equal to the portion of the Premium Bonus calculated based on Your Initial Premium that is allocated to the Fixed Account. For each day after the Contract Date, the Fixed Account Bonus Value is equal to:

- the Fixed Account Bonus Value last determined;
- increased by any Premium Bonus allocated to the Fixed Account for any Premium received by the Company on that day;

- decreased by the Fixed Account Bonus Transfer calculated on that day, if that day is a Contract Anniversary;
- increased or decreased, respectively, for any reallocations to or from the Fixed Account on that day, if that day is a Contract Anniversary, as described in the Reallocation of Bonus Values section of this Premium Bonus Endorsement;
- decreased by any portion of Fixed Account Bonus Value paid to a Beneficiary as partial payment of the Death Benefit on that day;
- decreased proportionately for any withdrawal processed on that day, as described in the Effect of Withdrawals provision of this Premium Bonus Endorsement.

INDEX ACCOUNT BONUS VALUE

On the Contract Date, the Index Account Bonus Value for each Index Account is equal to the portion of the Premium Bonus calculated based on Your Initial Premium that is allocated to that Index Account. For each day after the Contract Date, the Index Account Bonus Value for each Index Account is equal to:

- the Index Account Bonus Value last determined for that Index Account;
- decreased by the Index Account Bonus Transfer calculated on that day for that Index Account, if that day is a Contract Anniversary;
- increased or decreased, respectively, for any reallocations to or from that Index Account on that day, if that day is a Contract Anniversary, as described in the Reallocation of Bonus Values section of this Premium Bonus Endorsement;
- decreased by any portion of Index Account Bonus Value deducted from that Index Account and paid to a Beneficiary as partial payment of the Death Benefit on that day;
- decreased proportionately for any withdrawal processed on that day from that Index Account, as described in the Effect of Withdrawals provision of this Premium Bonus Endorsement.

FIXED ACCOUNT BONUS TRANSFER

On each Contract Anniversary prior to and including the end of the Bonus Vesting Period, the Fixed Account Bonus Transfer is equal to: $A / (B - C + 1)$

Where:

- A = the Fixed Account Bonus Value;
- B = the number of years in the Bonus Vesting Period; and
- C = the number of completed Contract Years.

INDEX ACCOUNT BONUS TRANSFER

On each Contract Anniversary prior to and including the end of the Bonus Vesting Period, the Index Account Bonus Transfer for each Index Account is equal to: $A / (B - C + 1)$

Where:

- A = the Index Account Bonus Value;
- B = the number of years in the Bonus Vesting Period; and
- C = the number of completed Contract Years.

EFFECT OF WITHDRAWALS

If you make any withdrawal during the Bonus Vesting Period, a portion of the Premium Bonus will be recovered by Us by means of a reduction in Your Bonus Value.

Any withdrawal will reduce Your Fixed Account Bonus Value such that the Fixed Account Bonus Value after the withdrawal is equal to: $A \times (B/C)$

Where:

A = the Fixed Account Bonus Value immediately prior to the withdrawal;

B = the Fixed Account Value on that day, after the reduction due to the withdrawal; and

C = the Fixed Account Value on that day, immediately prior to the reduction due to the withdrawal.

Any withdrawal taken from an Index Account will reduce that Index Account Bonus Value such that the Index Account Bonus Value after the withdrawal is equal to: $A \times (B/C)$

Where:

A = the Index Account Bonus Value immediately prior to the withdrawal;

B = the Protected Index Account Value on that day, after the reduction due to the withdrawal or payment;
and

C = the Protected Index Account Value on that day, immediately prior to the reduction due to the withdrawal or payment.

EFFECT OF THIS ENDORSEMENT ON FIXED ACCOUNT VALUE

While this Endorsement is in effect, the **ACCOUNT VALUE** provision in Your contract is amended as follows:

For each day other than the Contract Date, the Fixed Account Value is equal to:

- a. The Fixed Account Value last determined;
- b. Plus the daily interest at the then current Fixed Interest Rate credited to the Fixed Account for that day;
- c. Plus any Premium received by the Company on that day if that day is during the Premium Payment Period;
- d. Plus the Fixed Account Bonus Transfer on that day if that day is a Contract Anniversary;
- e. Plus or minus any amounts reallocated into or out of the Fixed Account if that day is a Contract Anniversary;
- f. Minus any Rider Fees taken from the Fixed Account on that day;
- g. Minus amounts taken from the Fixed Account that day as a withdrawal or partial payment of a Death Benefit, and any Withdrawal Assessments applicable to those amounts.

The daily interest credited to the Fixed Account Value described in "b" above will be calculated based on the sum of the Fixed Account Value and the Fixed Account Bonus Value.

EFFECT OF THIS ENDORSEMENT ON INDEX STRATEGY ENDORSEMENTS

While this Endorsement is in effect, the **CALCULATION OF THE EAR VALUE** provision in each Index Strategy Endorsement is removed and replaced with:

CALCULATION OF THE EAR VALUE

On the Contract Date, the EAR Value is zero.

On each Term End Date, the EAR Value applicable for the subsequent Term will be calculated. The EAR Value is equal to:

- 1) The Available Gain first calculated on that day;
- 2) Plus the Index Account Bonus Transfer on that day;
- 3) Minus any Index Account Credit calculated and added to the Protected Index Account Value on that day;
- 4) Adjusted for any reallocations to or from the Index Account on a Term End Date, as described in the Reallocations section of the Index Strategy Endorsement.

Once set for the Term, the EAR Value will only change if an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit. In such case, the revised EAR Value as of the day of the withdrawal or partial payment of a Death Benefit will equal: $A \times (B/C)$

Where:

A = The EAR Value on the previous day;

B = The Protected Index Account Value on that day, after the reduction due to the withdrawal or payment;
and

C = The Protected Index Account Value on that day, immediately prior to the reduction due to the withdrawal or payment.

While this Endorsement is in effect, the **CALCULATION OF THE INDEX ACCOUNT CREDIT** provision in each Index Strategy Endorsement is removed and replaced with:

CALCULATION OF THE INDEX ACCOUNT CREDIT

We will calculate an Index Account Credit on any day an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit and on the Term End Date, as described below.

On any day an amount is taken from the Index Account as a withdrawal or partial payment of a Death Benefit prior to the Term End Date, the Index Account Credit is equal to: $A \times B / C$

Where:

A = the amount taken from the Index Account as a withdrawal or partial payment of a Death Benefit on that day, including any Withdrawal Assessments applicable to those amounts;

B = the Available Gain on that day, prior to any adjustment due to the withdrawal or partial payment of a Death Benefit; and

C = the Index Account Value on that day, before the withdrawal or partial payment of a Death Benefit.

On the Term End Date, the Index Account Credit is equal to the greater of:

1) $A \times (B + C)$ where:

A = the Protected Auto-Credit Percentage;

B = the Available Gain first calculated on that day; and

C = the Index Account Bonus Transfer calculated on that day; and

2) $D - (E \times F)$ where:

D = the Available Gain first calculated on that day, plus the Index Account Bonus Transfer calculated on that day;

E = the EAR Value Percentage Limit; and

F = the Index Account Value on that day plus the Index Account Bonus Value on that day, prior to the reduction for any Index Account Bonus Transfer.

While this Endorsement is in effect, the **Available Gain Formula** provision in each Index Strategy Endorsement is removed and replaced with:

Available Gain Formula

The Available Gain calculated pursuant to the Available Gain Formula is the greater of: zero and $(A + (B \times C \times D))$ where:

A = the EAR Value on that day;

B = the sum of the Protected Index Account Value, the EAR Value and the Index Account Bonus Value on that day;

C = the Index Interest Rate calculated on that day, as described in the Calculation of the Index Interest Rate provision of the applicable Index Strategy Endorsement; and

D = the Partial Term Factor on that day.

If the Index Interest Rate is less than or equal to zero, the Partial Term Factor is 1. If the Index Interest Rate is greater than zero, the Partial Term Factor is the number of elapsed calendar days in the Term divided by the total number of calendar days in the Term.

IMPACT TO CREDITING FACTORS

While this Endorsement is in effect, the applicable crediting factor(s) that We declare for each Term (i.e., the factors that will be used in the calculation of the Index Interest Rate during that Term) will be based, in part, on the then current ratio of the EAR Value to the sum of the Index Account Value and the Index Account Bonus Value.

REALLOCATION OF BONUS VALUES

If You provide us with notice of a new allocation, or if You have automatic allocation instructions effective at that time, as described in Your contract and any Index Strategy Endorsement(s), Your values for the new Term will be calculated as follows:

The Fixed Account Bonus Value will equal the requested allocation to the Fixed Account, multiplied by the Bonus Value.

For each Index Account, the Index Account Bonus Value will equal the requested allocation to that Index Account, multiplied by the Bonus Value.

EFFECT OF THIS ENDORSEMENT ON DEATH BENEFIT

While this Endorsement is in effect, the amount of the Death Benefit will be equal to the sum of the Account Value and the Bonus Value on the Death Benefit Date, reduced by any applicable Premium Tax or similar tax.

TERMINATION

This Endorsement will terminate upon the earliest of:

- the Contract Anniversary that coincides with the end of the Bonus Vesting Period;
- the date we receive Your request to terminate this Endorsement; or
- termination of Your contract.

If this Endorsement is terminated upon Your request, any remaining Bonus Value will be forfeited.

Upon termination of this Endorsement for any reason, the Bonus Value will not be calculated or maintained for any purpose thereafter.

**SUMMARY OF THE
WEST VIRGINIA LIFE AND HEALTH INSURANCE GUARANTY ASSOCIATION ACT
(Effective July 1, 2019)**

Residents of West Virginia who purchase life insurance, annuities, or health insurance should know that the insurance companies licensed in this state to write these types of insurance are members of the West Virginia Life and Health Insurance Guaranty Association. The purpose of this Association is to assure that policy and contract owners, certificate holders, and enrollees of covered policies and contracts will be protected, within limits, in the unlikely event that a member insurer becomes financially unable to meet its obligations. If this should happen, the Guaranty Association will assess its other member insurance companies for the money to pay the claims of covered persons who live in this state and, in some cases, to keep coverage in force. The valuable extra protection provided by these member insurers through the Guaranty Association is not unlimited, however, and as noted in the box below, this protection is not a substitute for consumers' care in selecting companies that are well-managed and financially stable.

The West Virginia Life and Health Insurance Guaranty Association may not provide coverage for this policy or contract. If coverage is provided, it may be subject to substantial limitations or exclusions, and require continued residency in West Virginia. You should not rely on coverage by the West Virginia Life and Health Insurance Guaranty Association in selecting an insurance company or health maintenance organization, or in selecting an insurance policy or contract. For a complete description of coverage, consult Article 26A, Chapter 33 of the West Virginia Code.

Coverage is NOT provided for any portion OF YOUR CONTRACT that is not guaranteed by the insurer or for which you have assumed the risk.

Insurance companies or their agents are required by law to give or send you this notice. *However, insurance companies, health maintenance organizations and their agents are prohibited by law from using the existence of the guaranty association to induce you to purchase any kind of insurance policy or health maintenance organization coverage.*

The Guaranty Association or the West Virginia Insurance Commission will respond to questions you may have which are not answered by this document. Policyholders with additional questions may contact:

**West Virginia Life & Health
Insurance Guaranty Association**
PO Box 816
Huntington, West Virginia 25712

West Virginia Insurance Commissioner
Consumer Services Division
900 Pennsylvania Avenue
PO Box 50540
Charleston, West Virginia 25305-0540
Telephone: (304) 558-3386
Toll Free: 1-888-879-9842
TDD: 1-800-435-7381

The state law that provides for this safety-net coverage is called the West Virginia Life and Health Insurance Guaranty Association Act. On the back of this page is a brief summary of this law's coverages, exclusions, and limits. This summary does not cover all provisions of the law, nor does it in any way change anyone's rights or obligations under the act or the rights or obligations of the Guaranty Association.

COVERAGE

Generally, individuals will be protected by the West Virginia Life and Health Insurance Guaranty Association if they live in West Virginia and hold a life, health, or annuity policy, plan, or contract, or if they are insured under a group life, health, or annuity policy or contract, issued by a member insurer. Member insurer also includes non-profit service corporations (W. Va. Code §33-24), health care corporations (W. Va. Code §33-25), and health maintenance organizations (W. Va. Code §33-25A). The beneficiaries, payees, or assignees of insured persons are protected as well, even if they live in another state.

EXCLUSIONS FROM COVERAGE

However, persons holding such policies, plans, or contracts are not protected by this Guaranty Association if:

- They are eligible for protection under the laws of another state (this may occur when the insolvent member insurer was incorporated in another state whose guaranty association protects insureds who live outside the state);
- The member insurer was not authorized to do business in this state;
- The policy, plan, or contract was issued at a time when the member insurer was not licensed or authorized to do business in the state;
- Their policy, plan, or contract was issued by a fraternal benefit society, mandatory state pooling plan, a mutual protective association or similar plan in which the policy, plan, or contract holder is subject to future assessments, an insurance exchange, or organization that has a certificate or license limited to the issuance of charitable gift annuities or any entity similar to the above.

The Guaranty Association also does not provide coverage for:

- Any policy, plan, or contract, or portion of a policy, plan, or contract that is not guaranteed by the member insurer or for which the individual or contract holder has assumed the risk;
- Any policy of reinsurance (unless an assumption certificate was issued);
- Interest rate yields that exceed an average rate;
- Dividends;
- Credits given in connection with the administration of a policy, plan, or contract by a group contract holder;
- Employer or association plans to the extent they are self-funded (that is, not insured by an insurance company, even if an insurance company administers them) or uninsured, including:
 - i. multiple employer welfare arrangement;
 - ii. minimum premium group insurance plan;
 - iii. stop loss group insurance plan; or
 - iv. administrative services only contract.
- Any unallocated annuity contract issued to or in connection with a benefit plan protected under the federal pension guaranty corporation;
- Any portion of any unallocated contract that is not issued to or in connection with a specific employee, union, or association's benefit plan or a governmental lottery;
- Any policy, plan, or contract providing any hospital, medical, prescription drug, or other health care benefits pursuant to Medicare Part C and D or Medicaid;
- An obligation that does not arise under the written terms of the policy, plan, or contract, including claims based on marketing materials; claims based on side letters or riders not approved by the Commissioner; misrepresentations regarding policy benefits; extra contractual claims or claims for penalties or consequential or incidental damages;

- A contractual agreement that establishes the member insurer's obligation to provide a book value accounting guaranty for defined contribution benefit plan participants by reference to a portfolio of assets that is owned by the benefit plan or trustee, which is not an affiliate of the insurer;
- Structured settlement annuity benefits, the rights to which have been transferred by the payee or beneficiary in a structured settlement factoring transaction.

LIMITS ON AMOUNT OF COVERAGE

The Act also limits the amount the Guaranty Association is obligated to pay out. The Guaranty Association cannot pay more than what the member insurer would owe under a policy, plan, or contract. Also, for any one insured life, regardless of the number of policies, plans, or contracts, the Guaranty Association will only pay:

- \$300,000 in life insurance benefits, but no more than \$100,000 in net cash surrender and net cash withdrawal values;
- \$300,000 for disability insurance;
- \$300,000 for long term care insurance;
- \$250,000 in the present value annuity benefits, including net cash surrender and net cash withdrawal values;
- \$500,000 health benefit plans (W. Va. Code §33-26A-5(10)); and
- \$100,000 for all other types of accident and sickness insurance coverages not defined as disability income insurance, long term care insurance, or health benefit plans.

Also, for any one insured life, the Guaranty Association will only pay a maximum of \$300,000 - no matter how many policies and contracts there were with the same company - for all policies or contracts other than health benefit plans, in which case the aggregate limit shall not exceed \$500,000 with respect to any one individual.

Note to benefit plan trustees or other holders of unallocated annuities (GICs, DACs, etc.) covered by the Act: for unallocated annuities that fund governmental retirement plans under §§ 401(k), 403(b), or 457 of the Internal Revenue Code, the limit is \$250,000 in present value of annuity benefits, including net cash surrender and net cash withdrawal values, per participating individual. In no event shall the Guaranty Association be liable to spend more than \$300,000 in the aggregate per individual. For covered unallocated annuities that fund other plans, a special limit of \$5,000,000 applies to each contract holder, regardless of the number of contracts held with the same company or number of persons covered. In all cases, of course, the contract limits also apply.

DELAWARE LIFE INSURANCE COMPANY

TRADITIONAL/ROTH INDIVIDUAL RETIREMENT ANNUITY ENDORSEMENT

This Endorsement is effective as of the Contract Date.

ARTICLE I - INTRODUCTION

- 1.01 *Purpose of the Endorsement:* The purpose of this Endorsement, which is attached to and made a part of the annuity Contract issued by the Issuer, is to qualify the Contract as a Traditional individual retirement annuity (IRA) under Code Section 408(b) or a Roth IRA under Code Sections 408A and 408(b), as indicated on the Application, to provide for the IRA Owner's retirement and for the support of his or her Beneficiary(ies) after death. The Contract is established for the exclusive benefit of the IRA Owner and his or her Beneficiary(ies). If this is an inherited IRA within the meaning of Code Section 408(d)(3)(C) maintained for the benefit of a Designated Beneficiary of a deceased individual, references in this document to the "IRA Owner" are to the deceased individual. If any provisions of the Contract conflict with this Endorsement, the provisions of this Endorsement will apply. In no event will this Endorsement operate as both a Traditional IRA and a Roth IRA.
- 1.02 *Ownership Provisions:* The IRA Owner's interest in the Contract is nonforfeitable and nontransferable and the IRA Owner may exercise all rights under the Contract during his or her lifetime. In addition, the Contract may not be sold, assigned, discounted, or pledged as collateral or as security for the performance of an obligation or for any other purpose.
- 1.03 *For More Information:* To obtain more information concerning the rules governing this Endorsement, contact the Issuer listed on the Application.

ARTICLE II – DEFINITIONS

The following words and phrases, when used in this Endorsement with initial capital letters, shall, for the purpose of this Endorsement, have the meanings set forth below unless the context indicates that other meanings are intended.

- 2.01 *Application:* Means the document executed by the IRA Owner through which the IRA Owner adopts this Endorsement and thereby agrees to be bound by all terms and conditions of this Endorsement.
- 2.02 *Beneficiary:* Means the individual(s) or entity(ies) properly named to receive any remaining IRA benefits upon the death of the IRA Owner.
- 2.03 *Code:* Means the Internal Revenue Code of 1986, as amended from time to time.
- 2.04 *Compensation:* For purposes of sections 3.01 and 4.01 of this Endorsement, Compensation means wages, salaries, professional fees, or other amounts derived from or received for personal services actually rendered (including, but not limited to commissions paid salesmen, compensation for services on the basis of a percentage of profits, commissions on insurance premiums, tips, and bonuses) and includes earned income, as defined in Code Section 401(c)(2) (reduced by the deduction the self-employed Roth IRA Owner takes for contributions made to a self-employed retirement plan). For purposes of this definition, Code Section 401(c)(2) shall be applied as if the term trade or business for purposes of Code Section 1402 included service described in Code Section 1402(c)(6). The term compensation shall include any amount includible in the Roth IRA Owner's gross income under Code Section 71 with respect to a divorce or separation instrument described in Code Section 71(b)(2)(A). Compensation also includes any differential wage payments as defined in Code Section 3401(h)(2).
- Compensation does not include amounts derived from or received as earnings or profits from property (including but not limited to interest and dividends) or amounts not includible in gross income (determined without regard to Code Section 112). Compensation also does not include any amount received as a pension or annuity or as deferred compensation. In the case of a married individual filing a joint return, the greater compensation of his or her spouse is treated as his or her own compensation, but only to the extent that such spouse's compensation is not being used for purposes of the spouse making a Roth IRA Premium.
- 2.05 *Contract:* Means the annuity contract or certificate used in conjunction with this Endorsement and which is available on both an individual and group basis. Accordingly, references to Contract shall encompass both a contract issued on an individual basis and a contract issued as a group contract, together with the certificates evidencing interests in such group contract issued to participating individuals (referred to as "Participant") under the group arrangement.

- 2.06 *Conversion Premium*: Means a contribution described in Code Section 408A(e) from a Traditional or SIMPLE IRA to a Roth IRA.
- 2.07 *Designated Beneficiary*: Means the Beneficiary named as of the date of the IRA Owner's death who remains a Beneficiary as of September 30 of the year following the year of the IRA Owner's death.
- 2.08 *Endorsement*: Means this IRA Endorsement.
- 2.09 *IRA*: Means either a Traditional IRA or Roth IRA unless otherwise indicated.
- 2.10 *IRA Owner*: Means the individual who participates in this IRA, thereby owning the Contract. In the case of an individual Contract, this is the person to whom such Contract was issued and, in the case of a group Contract, this is the Participant thereunder, unless otherwise expressly indicated.
- 2.11 *Issuer*: Means Delaware Life Insurance Company.
- 2.12 *Premium*: Means any payments made to the IRA and is generally called a "purchase payment" in the Contract.
- 2.13 *Regulations*: Means the U.S. Department of the Treasury regulations.
- 2.14 *Roth IRA*: Means an IRA as defined in Code Sections 408A and 408(b).
- 2.15 *SIMPLE IRA*: Means an IRA which satisfies the requirements of Code Sections 408(b) and 408(p).
- 2.16 *Traditional IRA*: Means an IRA as defined in Code Section 408(b).

ARTICLE III – PROVISIONS GOVERNING TRADITIONAL IRAS

This Article III shall only apply if this IRA has been designated by the IRA Owner on the Application as a Traditional IRA.

- 3.01 *Maximum Permissible Premiums*. The Issuer may accept Premiums on behalf of the Traditional IRA Owner for a tax year of the Traditional IRA Owner.
- A. **Regular Premiums**. Except in the case of a rollover Premium (as permitted by Code Sections 402(c), 402(e)(6), 403(a)(4), 403(b)(8), 403(b)(10), 408(d)(3), and 457(e)(16)) or a Premium made in accordance with the terms of a simplified employee pension (SEP) plan as described in Code Section 408(k), no Premiums will be accepted unless they are in cash, and the total of such Premiums shall not exceed the lesser of 100 percent of the Traditional IRA Owner's Compensation, or \$5,000 for any taxable year beginning in 2008 and years thereafter. After 2008, the Premium limit will be adjusted by the Secretary of the Treasury for cost-of-living increases under Code Section 219(b)(5)(D). Such adjustments will be in multiples of \$500. There have been no such adjustments for taxable years 2009-2011.
- If the Traditional IRA Owner makes regular Premiums to both Traditional and Roth IRAs for a taxable year, the maximum regular Premium that can be made to all the IRA Owner's Traditional IRAs for that taxable year is reduced by the regular Premiums made to the IRA Owner's Roth IRAs for the taxable year.
- B. **Catch-Up Premiums**. In the case of a Traditional IRA Owner who is age 50 or older by the close of the taxable year, the annual Premium is increased by \$1,000 for any taxable year beginning in 2006 and years thereafter.
- C. **Additional Premiums**. In addition to the amounts described in Sections 3.01(A) and (B) of this Endorsement, a Traditional IRA Owner may make additional Premiums specifically authorized by statute such as repayments of qualified reservist distributions, repayments of certain plan distributions made on account of a federally declared disaster, and certain amounts received in connection with the Exxon Valdez litigation.
- D. **Employees of Certain Bankrupt Employers**. In addition to the amounts described in Section 3.01(A) and (B) of this Endorsement, a Traditional IRA Owner who was a participant in a Code Section 401(k) plan of a certain employer in bankruptcy described in Code Section 219(b)(5)(C) may contribute up to \$3,000 for taxable years beginning after 2006 and before 2010 only. A Traditional IRA Owner who makes Premiums under this section may not also make catch-up Premiums.

- E. **SIMPLE IRA.** No Premiums will be accepted under a SIMPLE IRA plan established by an employer pursuant to Code Section 408(p). Also, no transfer or rollover of funds attributable to Premiums made by a particular employer under its SIMPLE IRA plan will be accepted from a SIMPLE IRA, that is, a SIMPLE IRA used in conjunction with a SIMPLE IRA plan, prior to the expiration of the two-year period beginning on the date the employee first participated in that employer's SIMPLE IRA plan.
- F. **Inherited IRA.** If this is an inherited Traditional IRA within the meaning of Code Section 408(d)(3)(C), no Premiums will be accepted.

3.02 Distribution Requirements

A. **IRA Owner Distributions.** Notwithstanding any provision of this Traditional IRA to the contrary, the distribution of the IRA Owner's interest in the Traditional IRA shall be made in accordance with the requirements of Code Section 408(b)(3) and the Regulations thereunder, the provisions of which are herein incorporated by reference. If distributions are not made in the form of an annuity on an irrevocable basis (except for acceleration), then distribution of the interest in the Traditional IRA (as determined under Section 3.02(A)(4) of this Endorsement) must satisfy the requirements of Code Section 408(a)(6) and the Regulations thereunder, rather than Section 3.02(A)(1), (2), and (3) and Section 3.02(B) of this Endorsement.

1. The entire interest of the Traditional IRA Owner for whose benefit the Traditional IRA is maintained will commence to be distributed no later than the first day of April following the calendar year in which such Traditional IRA Owner attains age 70½ (the "required beginning date") over
 - a. the Traditional IRA Owner's life or the lives of such Traditional IRA Owner and his or her Designated Beneficiary(ies), or
 - b. a period certain not extending beyond the Traditional IRA Owner's life expectancy or the joint and last survivor expectancy of such Traditional IRA Owner and his or her Designated Beneficiary(ies).

Distributions must be made in periodic payments at intervals of no longer than one year and must be either nonincreasing or they may increase only as provided in Q&As-1 and -4 of Regulations Section 1.401(a)(9)-6. In addition, any distribution must satisfy the incidental benefit requirements specified in Q&A-2 of 1.401(a)(9)-6. If this is an inherited Traditional IRA within the meaning of Code Section 408(d)(3)(C), this paragraph and Section 3.02(A)(2) and (A)(3) of this Endorsement do not apply.

2. The distribution periods described in Section 3.02(A)(1) of this Endorsement cannot exceed the periods specified in Regulations Section 1.401(a)(9)-6.
3. The first required distribution can be made as late as the required beginning date and must be the distribution that is required for one payment interval. The second distribution need not be made until the end of the next payment interval.
4. The "interest" in the Traditional IRA for purposes of this Section is the prior December 31 balance adjusted to include the amount of any outstanding rollovers, transfers, and recharacterizations- under Q&As-7 and -8 of Regulations Section 1.408-8 and the actuarial value of any other benefits provided under the Traditional IRA, such as guaranteed death benefits, under Q&A-12 of 1.401(a)(9)-6.
5. If the Traditional IRA Owner fails to elect a method of distribution by his or her required beginning date the Issuer shall have complete and sole discretion to do any one of the following:
 - make no distribution until the Traditional IRA Owner provides a proper withdrawal request;
 - distribute the Traditional IRA Owner's entire interest in a single sum payment;
 - distribute the Traditional IRA Owner's entire interest over a period certain not extending beyond the Traditional IRA Owner's life expectancy or the life expectancy of the Traditional IRA Owner and his or her Beneficiary; or
 - annuitize the Traditional IRA within the parameters described in this Section.

The Issuer will not be liable for any penalties or taxes related to the Traditional IRA Owner's failure to take a required minimum distribution.

B. **Beneficiary Rights.** If the Traditional IRA Owner dies before his or her entire interest is distributed to him or her, the entire remaining interest will be distributed as follows.

1. **Death on or After Required Beginning Date.** If the Traditional IRA Owner dies on or after required distributions commence, the remaining portion of such Traditional IRA Owner's interest will continue to be distributed under the Contract option chosen.

2. **Death Before Required Beginning Date.** If the Traditional IRA Owner dies before required distributions commence, such IRA Owner's entire interest will be distributed at least as rapidly as follows.
- If the Designated Beneficiary is someone other than the Traditional IRA Owner's surviving spouse, the entire interest will be distributed, starting by the end of the calendar year following the calendar year of the Traditional IRA Owner's death, over the remaining life expectancy of the Designated Beneficiary, with such life expectancy determined using the age of the Beneficiary as of his or her birthday in the year following the year of the Traditional IRA Owner's death, or, if elected, in accordance with Section 3.02(B)(2)(c) of this Endorsement. If this is an inherited Traditional IRA within the meaning of Code Section 408(d)(3)(C) established for the benefit of a nonspouse Designated Beneficiary by a direct trustee-to-trustee transfer from a retirement plan of a deceased individual under Code Section 402(c)(11), then, notwithstanding any election made by the deceased individual pursuant to the preceding sentence, the nonspouse Designated Beneficiary may elect to have distributions made under this Section if the transfer is made no later than the end of the year following the year of death.
 - If the Traditional IRA Owner's sole Designated Beneficiary is the Traditional IRA Owner's surviving spouse, the entire interest will be distributed, starting by the end of the calendar year following the calendar year of the Traditional IRA Owner's death (or by the end of the calendar year in which the Traditional IRA Owner would have attained age 70½, if later), over such spouse's life expectancy, or, if elected, in accordance with Section 3.02(B)(2)(c) of this Endorsement. If the surviving spouse dies before required distributions are required to begin, the remaining interest will be distributed, starting by the end of the calendar year following the calendar year of the spouse's death, over the spouse's Designated Beneficiary's remaining life expectancy determined using such Beneficiary's age as of his or her birthday in the year following the death of the spouse, or, if elected, will be distributed in accordance with Section 3.02(B)(2)(c) of this Endorsement. If the surviving spouse dies after required distributions commence to him or her, any remaining interest will continue to be distributed under the contract option chosen.
 - If there is no Designated Beneficiary, or, if applicable by operation of Section 3.02(B)(2)(a) or (b) of this Endorsement, the entire interest will be distributed by the end of the calendar year containing the fifth anniversary of the Traditional IRA Owner's death (or the spouse's death in the case of the surviving spouse's death before distributions are required to begin under Section 4.02(B)(2) of this Endorsement).
 - Life expectancy is determined using the Single Life Table in Q&A-1 of Regulations Section 1.401(a)(9)-9. If distributions are being made to a surviving spouse as the sole Designated Beneficiary, such spouse's remaining life expectancy for a year is the number in the Single Life Table corresponding to such spouse's age in the year. In all other cases, remaining life expectancy for a year is the number in the Single Life Table corresponding to the Beneficiary's age in the year specified in Section 3.02(B)(2)(a) or (b) of this Endorsement and reduced by one for each subsequent year.
3. The "interest" in the Traditional IRA for purposes of Section 3.02 of this Endorsement is the prior December 31 balance adjusted to include the amount of any outstanding rollovers, transfers, and recharacterizations under Q&As-7 and -8 of Regulations Section 1.408-8 and the actuarial value of any other benefits provided under the Traditional IRA, such as guaranteed death benefits.
4. For purposes of Sections 3.02(B)(1) and (2) of this Endorsement, required distributions are considered to commence on the Traditional IRA Owner's required beginning date, or, if applicable, on the date distributions are required to begin to the surviving spouse under Section 3.02(B)(2)(b) of this Endorsement. However, if distributions start prior to the applicable date in the preceding sentence, on an irrevocable basis (except for acceleration) under an annuity contract meeting the requirements of Regulations Section 1.401(a)(9)-6, the required distributions are considered to commence on the annuity starting date.
5. If the Designated Beneficiary is the Traditional IRA Owner's surviving spouse, the spouse may elect to treat the Traditional IRA as his or her own Traditional IRA. This election will be deemed to have been made if such surviving spouse, who is the sole Beneficiary of the Traditional IRA, makes a Premium to the Traditional IRA or fails to take required distributions as a Beneficiary.
6. The required minimum distributions payable to a Designated Beneficiary from this Traditional IRA may be withdrawn from another Traditional IRA the beneficiary holds from the same deceased IRA Owner in accordance with Q&A-9 of Regulations Section 1.408-8.
7. If the Beneficiary payment election described in Section 3.02(B) is not made by December 31 of the year following the year the Traditional IRA Owner dies, the Issuer reserves the right to elect, in its complete and sole discretion, to do any one of the following:

- make no distribution until the Beneficiary(ies) provides a proper withdrawal request;

- distribute the entire Traditional IRA to the Beneficiary(ies) in a single sum payment; or
- distribute the entire remaining interest to the Beneficiary(ies) pursuant to the applicable option in Sections 3.02(B)(1) or (2) of this Endorsement.

The Issuer will not be liable for any penalties or taxes related to the Beneficiary's failure to take a required minimum distribution.

ARTICLE IV – PROVISIONS GOVERNING ROTH IRAS

This Article IV shall apply if this IRA has been designated by the IRA Owner on the Application as a Roth IRA.

4.01 Premium Limits

A. Maximum Permissible Amount. Except in the case of a qualified rollover (as described in Section 4.01(G) of this Endorsement) or a recharacterization (as described in Section 4.01(F) of this Endorsement), no Premium will be accepted unless it is in cash, and the total of such Premiums to all the Roth IRA Owner's Roth IRAs for a taxable year does not exceed the applicable amount (as defined in Section 4.02(B) of this Endorsement), or the Roth IRA Owner's Compensation (as defined in Section 2.04 of this Endorsement), if less, for that taxable year. The Premium described in the previous sentence that may not exceed the lesser of the applicable amount of the Roth IRA Owner's Compensation is referred to as a regular Premium. However, notwithstanding the preceding limits on Premiums, a Roth IRA Owner may make additional Premiums specifically authorized by statute – such as repayments of qualified reservist distributions, repayments of certain plan distributions made on account of a federally declared disaster, and certain amounts received in connection with the Exxon Valdez litigation. Premiums may be limited under Sections 4.01(C), (D), and (E) of this Endorsement.

B. Applicable Amount. The applicable amount is determined below:

1. If the Roth IRA Owner is under age 50, the applicable amount is \$5,000 for any taxable year beginning in 2008 and years thereafter. After 2008, the applicable Premium limit may be adjusted by the Secretary of the Treasury for cost-of-living increases under Code Section 219(b)(5)(D). Such adjustments will be in multiples of \$500. There have been no such adjustments for taxable years 2009-2011.
2. If the Roth IRA Owner is 50 or older, the applicable amount under Section 4.01(B)(1) of this Endorsement is increased by \$1,000 for any taxable year beginning in 2006 and years thereafter.
3. If the Roth IRA Owner was a participant in a Code Section 401(k) plan of a certain employer in bankruptcy described in Code Section 219(b)(5)(C), then the applicable amount under Section 3.02(A) of this Endorsement is increased by \$3,000 for taxable years beginning after 2006 and before 2010 only. A Roth IRA Owner who makes Premiums under this Section 4.01(B)(3) may not also make Premiums under Section 4.01(B)(2).

C. Regular Premium Limit. The maximum regular Premium that can be made to all the Roth IRA Owner's Roth IRAs for a taxable year is the smaller amount determined under (1) or (2) below.

1. If a Roth IRA Owner's modified adjusted gross income (MAGI) falls within certain limits, as described in the following table, the maximum regular Premium that can be made to all the Roth IRA Owner's IRAs for a taxable year is phased out ratably in accordance with the following table for taxable year 2006:

Filing Status	Full Premium	Phase-Out Range MAGI	No Premium
Single or Head of Household	\$95,000 or less	Between \$95,000 and \$110,000	\$110,000 or more
Joint Return or Qualifying Widow(er)	\$150,000 or less	Between \$150,000 and \$160,000	\$160,000 or more
Married – Separate Return	\$0	Between \$0 and \$10,000	\$10,000 or more

A Roth IRA Owner's MAGI for a taxable year is defined in Code Section 408A(c)(3) and does not include any amount included in adjusted gross income as a result of a qualified rollover Premium. If the Roth IRA Owner's MAGI for a taxable year is in the phase-out range, the maximum regular Premium determined under this table for that taxable year is rounded up to the next multiple of \$10 and is not reduced below \$200. After 2006, the MAGI limits above will be adjusted by the Secretary of the Treasury for cost-of-living increases under Code Section 408A(c)(3). Such adjustments will be in multiples of \$1,000. There have been such adjustments beginning with taxable year 2007 and the following table updates the earlier table for taxable year 2011:

Filing Status	Full Premium	Phase-Out Range MAGI	No Premium
Single or Head of Household	\$107,000 or less	Between \$107,000 and \$122,000	\$122,000 or more
Joint Return or Qualifying Widow(er)	\$169,000 or less	Between \$169,000 and \$179,000	\$179,000 or more
Married – Separate Return	\$0	Between \$0 and \$10,000	\$10,000 or more

2. If the Roth IRA Owner makes regular Premiums to both Roth and Traditional IRAs for a taxable year, the maximum regular Premium that can be made to all the Roth IRA Owner's IRAs for that taxable year is reduced by the regular Premiums made to the Roth IRA Owner's Traditional IRAs for the taxable year.

D. **SIMPLE IRA Limits.** No Premiums will be accepted under a SIMPLE IRA plan established by any employer pursuant to Code Section 408(p). Also, no transfer or rollover of funds attributable to contributions made by a particular employer under its SIMPLE IRA plan will be accepted from a SIMPLE IRA, that is, an IRA used in conjunction with a SIMPLE IRA plan, prior to the expiration of the two-year period beginning on the date the employee first participated in that employer's SIMPLE IRA plan.

E. **Inherited Roth IRA.** If this is an inherited Roth IRA within the meaning of Code Section 408(d)(3)(C), no regular Roth IRA Premiums will be accepted.

F. **Recharacterization.** A regular Premium to a Traditional IRA may be recharacterized pursuant to the rules in Regulations Section 1.408A-5 as a regular Premium to this Roth IRA, subject to the limits in Section 4.01(C) of this Endorsement.

G. **Qualified Rollover Premium.** A qualified rollover Premium is a rollover of a distribution from an eligible retirement plan described in Code Section 402(c)(8)(B). If the distribution is from a Roth IRA, the rollover must meet the requirements of Code Section 408(d)(3), except the one-rollover-per-year rule of Code Section 408(d)(3)(B) does not apply if the distribution is from a Traditional or SIMPLE IRA. If the distribution is from an eligible retirement plan other than an IRA, the rollover must meet the requirements of Code Section 402(c), 402(e)(6), 403(a)(4), 403(b)(8), 403(b)(10), 408(d)(3), or 457(e)(16), as applicable. A qualified rollover Premium also includes Sections 4.01(G)(1) and (2) below.

1. All or part of a military death gratuity or servicemembers' group life insurance (SGLI) payment may be contributed if the Premium is made within one year of receiving the gratuity or payment. Such Premiums are disregarded for purposes of the one-rollover-per-year rule under Code Section 408(d)(3)(B).
2. All or part of an airline payment (as defined in Section 125 of the Worker, Retiree, and Employer Recovery Act of 2008 (WRERA), Pub. L. 110-458) received by certain airline employees may be contributed if the Premium is made within 180 days of receiving the payment.

4.02 Distribution Requirements

A. **Roth IRA Owner Distributions.** No amount is required to be distributed from the Contract prior to the death of the Roth IRA Owner for whose benefit the Contract was originally established. If this is an inherited Roth IRA within the meaning of Code Section 408(d)(3)(C), this Section does not apply.

B. **Beneficiary Rights.** If the Roth IRA Owner dies before his or her entire interest is distributed to him or her, the entire remaining interest will be distributed as follows.

1. Notwithstanding any provision of this Roth IRA to the contrary, the distribution of the Roth IRA Owner's interest in the Roth IRA shall be made in accordance with the requirements of Code Section 408(b)(3), as modified by Code Section 408A(c)(5), and the Regulations thereunder, the provisions of which are herein incorporated by reference. If distributions are not made in the form of an annuity on an irrevocable basis (except for acceleration), then distribution of the interest in the Roth IRA (as determined under Section 4.02(B)(3) of this Endorsement) must satisfy the requirements of Code Section 408(a)(6), as modified by Code Section 408A(c)(5), and the Regulations thereunder, rather than the distribution rules in Sections 4.02(B)(2), (3), (4), and (5) of this Endorsement.
2. Upon the death of the Roth IRA Owner, his or her entire interest will be distributed at least as rapidly as follows:
 - a. If the Designated Beneficiary is someone other than the Roth IRA Owner's surviving spouse, the entire interest will be distributed, starting by the end of the calendar year following the calendar year of the Roth IRA Owner's death, over the remaining life expectancy of the Designated Beneficiary, with such life expectancy determined using the age of the Designated Beneficiary as of his or her birthday in the year following the year of the Roth IRA Owner's death, or, if elected, in accordance with Section 4.02(B)(2)(c) of this Endorsement. If this is an inherited Roth IRA within the meaning of Code Section 408(d)(3)(C) established for the benefit of a nonspouse Designated Beneficiary by a direct trustee-to-trustee transfer from a retirement plan of a deceased individual under Code Section 402(c)(11), then, notwithstanding any election made by the deceased individual pursuant to the preceding sentence, the nonspouse Designated Beneficiary may elect to have distributions made under this Section if the transfer is made no later than the end of the year following the year of death.
 - b. If the Roth IRA Owner's Designated Beneficiary is the Roth IRA Owner's surviving spouse, the entire interest will be distributed, starting by the end of the calendar year following the calendar year of the Roth IRA Owner's death (or by the end of the calendar year in which the Roth IRA Owner would have attained age 70½, if later), over such spouse's life expectancy, or, if elected, in accordance with Section 4.02(B)(2)(c) of this Endorsement. If the surviving spouse dies before required distributions commence to him or her, the remaining interest will be distributed, starting by the end of the calendar year following the calendar year of the spouse's death, over the spouse's Designated Beneficiary's remaining life expectancy determined using such Beneficiary's age as of his or her birthday in the year following the death of the spouse, or, if elected, will be distributed in accordance with Section 4.02(B)(2)(c) of this Endorsement.

If the surviving spouse dies after required distributions commence to him or her, any remaining interest will continue to be distributed under the Contract option chosen.
 - c. If there is no Designated Beneficiary, or if applicable by operation of Section 4.02(B)(2)(a) or (b) of this Endorsement, the entire interest will be distributed by the end of the calendar year containing the fifth anniversary of the Roth IRA Owner's death (or of the spouse's death in the case of the surviving spouse's death before distributions are required to begin under Section 4.02(B)(2)(b) of this Endorsement).
 - d. Life expectancy is determined using the Single Life Table in Q&A-1 of Regulations Section 1.401(a)(9)-9. If distributions are being made to a surviving spouse as the sole Designated Beneficiary, such spouse's remaining life expectancy for a year is the number in the Single Life Table corresponding to such spouse's age in the year. In all other cases, remaining life expectancy for a year is the number in the Single Life Table corresponding to the Designated Beneficiary's age in the year specified in Section 4.02(B)(2)(a) or (b) of this Endorsement, and reduced by one for each subsequent year.
3. The "interest" in the Roth IRA for purposes of Section 4.02 of this Endorsement is the prior December 31 balance adjusted to include the amount of any outstanding rollovers, transfers, and recharacterizations under Q&As-7 and -8 of Regulations Section 1.408-8 and the actuarial value of any other benefits provided under the Roth IRA, such as guaranteed death benefits, under Q&A-12 of 1.409(a)(9)-6.
4. For purposes of Section 4.02(B)(2)(b) of this Endorsement, required distributions are considered to commence on the date distributions are required to begin to the surviving spouse under such section. However, if distributions start prior to the applicable date in the preceding sentence, on an irrevocable basis (except for acceleration) under an annuity contract meeting the requirements of Regulations Section 1.401(a)(9)-6, then required distributions are considered to commence on the annuity starting date.
5. If the sole Designated Beneficiary is the Roth IRA Owner's surviving spouse, the spouse may elect to treat the Roth IRA as his or her own Roth IRA. This election will be deemed to have been made if such surviving spouse, who is the sole Beneficiary of the Roth IRA, makes a Premium to the Roth IRA or fails to take required distributions as a Beneficiary.

6. The required minimum distributions payable to a Designated Beneficiary from this Roth IRA may be withdrawn from another Roth IRA the Beneficiary holds from the same decedent in accordance with Q&A-9 of Regulations Section 1-408-8.
7. If the Beneficiary payment election described above is not made by December 31 of the year following the year the Roth IRA Owner dies, the Issuer reserves the right to elect, in its complete and sole discretion, to do any one of the following:
 - make no distribution until the Beneficiary(ies) provides a proper withdrawal request;
 - distribute the entire Roth IRA to the Beneficiary(ies) in a single sum payment; or
 - distribute the entire remaining interest to the Beneficiary(ies) pursuant to the applicable option in Section 4.02(B)(2) of this Endorsement.

The Issuer will not be liable for any penalties or taxes related to the Beneficiary's failure to take a required minimum distribution.

ARTICLE V – PROVISIONS GOVERNING BOTH TRADITIONAL AND ROTH IRAS

5.01 Premium Payments

A. **Excess Premium.** Any refund of Premiums (other than those attributable to excess Premiums) will be applied, before the close of the calendar year following the year of the refund, toward the payment of future Premiums or the purchase of additional benefits.

B. **Contract Requirements.** The Contract does not require that any Premium be paid other than the initial Premium.

5.02 *Reporting:* The IRA Owner agrees to provide the Issuer with information necessary for the Issuer to prepare any report required under the Code and related Regulations including Code Sections 408(i) and 408A(d)(3)(D) (pertaining to Roth IRAs), Regulations Sections 1.408-5 and 1.408-6, and under guidance published by the Internal Revenue Service (IRS).

The Issuer shall furnish annual calendar year reports concerning the status of the annuity and such information concerning required minimum distributions as is prescribed by the IRS.

5.03 *Amendments:* Any amendment made for the purpose of complying with provisions of the Code and related Regulations may be made without the consent of the IRA Owner. The IRA Owner will be deemed to have consented to any other IRA amendment unless the IRA Owner notifies the Issuer that he or she does not consent within 30 days from the date the Issuer mails the amendment to the IRA Owner.

5.04 *Responsibility of the Parties:* The Issuer shall not be responsible for any penalties, taxes, judgments, or expenses incurred by the IRA Owner in connection with this IRA and shall have no duty to determine whether any Premiums to or distributions from this IRA comply with the Code, Regulations, rulings, or this Endorsement. The IRA Owner shall comply with the tax qualified plan provisions to prevent loss of the advantages of tax deferral and to prevent tax penalties.

5.05 *Settlement Provisions:* The settlement provisions under the Contract are amended as follows. Any payments under an annuity option with lifetime payments based on one life shall be measured only by the life of the IRA Owner or, if payments first begin after the IRA Owner's death, the life of the Designated Beneficiary, and, if the lifetime annuity option also provides for a minimum number of payments certain (the "guarantee period"), the guarantee period selected cannot extend beyond the life expectancy of the IRA Owner and that of the Designated Beneficiary or, if payments first begin after the IRA Owner's death, the life expectancy of the Designated Beneficiary. Any payments under an annuity option with lifetime payments based on two lives shall be measured only by the life of the IRA Owner and, upon his or her death, by the life of the Designated Beneficiary, and, if the annuity option also provides for a guarantee period, the guarantee period selected cannot extend beyond the life expectancy of the IRA Owner and that of the Designated Beneficiary. For any payments under an annuity option with non-lifetime payments for a specified period certain, the period certain selected cannot extend beyond the life expectancy of the IRA Owner and that of the Designated Beneficiary, or, if payments first begin after the IRA Owner's death, the life expectancy of the Designated Beneficiary.

DELAWARE LIFE INSURANCE COMPANY

TRADITIONAL/ROTH INDIVIDUAL RETIREMENT ANNUITY DISCLOSURE STATEMENT

This Disclosure Statement explains some of the rules governing the type of Individual Retirement Annuity (IRA) you designated on the Application. The term IRA will be used in this Disclosure Statement to refer to a Traditional IRA (under Internal Revenue Code Section (IRC Sec.) 408(b)) or a Roth IRA (under IRC Sec. 408A) unless specified otherwise. The information in this Disclosure Statement is being provided to you in accordance with the requirements of the Code and Regulations thereunder. The information pertains to IRAs generally. Certain information may not apply to your situation because of IRA Contractual limitations. This Disclosure Statement should be read in conjunction with the IRA application and its related individual contract or group certificate (collectively "the IRA Contract") and, if applicable, the prospectus for the IRA Contract. The provisions of the IRA Contract and any prospectus will prevail over this Disclosure Statement in any instance where this Disclosure Statement is incomplete, unclear or inconsistent with those documents.

RIGHT TO REVOKE YOUR IRA

You have the right to revoke your IRA within seven days of the receipt of the Disclosure Statement. If revoked, you are entitled to a full return of the Premiums you made to your IRA. The amount returned to you would not include a negative adjustment for such items as sales commissions, administrative expenses, or fluctuation in market value. You may make this revocation only by mailing or delivering a written notice to us at:

Delaware Life
P.O. Box 80428
Indianapolis, IN 46280-0428

If you send your notice by first class mail, your revocation will be deemed mailed as of the postmark date.

If you have any questions about the procedure for revoking your IRA, please call us at 1-800-374-3714.

REQUIREMENTS OF AN IRA

- A. **Cash Premiums** – Your Premium (which might be referred to in the IRA Contract as "Purchase Payment") must be in cash, unless it is a rollover or conversion premium.
- B. **Maximum Traditional IRA Premium** – The total amount you may contribute to your Traditional IRA for any taxable year cannot exceed the lesser of 100 percent of your Compensation or \$6,000 for 2019 and 2020, with possible cost-of-living adjustments each year thereafter. If you also maintain a Roth IRA (i.e., an IRA subject to the limits of IRC Sec. 408A), the maximum Premium to your Traditional IRAs is reduced by any Premiums you make to your Roth IRAs. Your total annual Premiums to all Traditional IRAs and Roth IRAs cannot exceed the lesser of the dollar amounts described above or 100 percent of your Compensation.
- C. **Maximum Roth IRA Premium** – The total amount you may contribute to your Roth IRA for any taxable year cannot exceed the lesser of 100 percent of your Compensation or \$6,000 for 2019 and 2020, with possible cost-of-living adjustments each year thereafter. If you also maintain a Traditional IRA (i.e., an IRA subject to the limits of IRC Secs. 408(a) or 408(b)) the maximum Premium to your Roth IRA is reduced by any Premiums you make to your Traditional IRA. Your total annual Premiums to all Traditional IRAs and Roth IRAs cannot exceed the lesser of the dollar amounts described above or 100 percent of your Compensation.

Your Roth IRA Premium is further limited if your modified adjusted gross income (MAGI) equals or exceeds \$193,000 (for 2019) or \$196,000 (for 2020) if you are a married individual filing a joint income tax return, or equals or exceeds \$122,000 (for 2019) or \$124,000 (for 2020) if you are a single individual. Married individuals filing a joint income tax return with MAGI equaling or exceeding \$203,000 (for 2019) or \$206,000 (for 2020) may not fund a Roth IRA. Single individuals with MAGI equaling or exceeding \$137,000 (for 2019) or \$139,000 (for 2020) may not fund a

Roth IRA. Married individuals filing a separate income tax return with MAGI equaling or exceeding \$10,000 may not fund a Roth IRA. The MAGI limits described above are subject to cost-of-living increases for tax years beginning after 2020.

If you are married filing a joint income tax return and your MAGI is between the applicable MAGI phase-out range for the year, your maximum Roth IRA Premium is determined as follows: (1) Begin with the appropriate MAGI phase-out maximum for the applicable year and subtract your MAGI from it; (2) divide the result by the difference between the phase-out range maximum and minimum; and (3) multiply this number by the maximum allowable Premium for the year, including catch-up Premiums if you are age 50 or older. For example, if you are age 30 and your MAGI is \$201,000, your maximum Roth IRA Premium for 2020 is \$3,000. This amount is determined as follows: [(\$206,000 minus \$201,000) divided by \$10,000] multiplied by \$6,000.

If you are single and your MAGI is between the applicable MAGI phase-out for the year, your maximum Roth IRA Premium is determined as follows: (1) Begin with the appropriate MAGI phase-out maximum for the applicable year and subtract your MAGI from it; (2) divide the result by the difference between the phase-out range maximum and minimum; and (3) multiply this number by the maximum allowable Premium for the year, including catch-up Premiums if you are age 50 or older. For example, if you are age 30 and your MAGI is \$127,000, your maximum Roth IRA Premium for 2020 is \$4,800 [(\$139,000 minus \$127,000) divided by \$15,000 and multiplied by \$6,000].

- D. **Traditional IRA Premium Eligibility** – For tax years beginning before 2020, you are eligible to make a regular Premium to your Traditional IRA if you have Compensation and have not attained age 70½ by the end of the taxable year for which the Premium is made. For 2020 and later tax years, you may make a regular Premium to your IRA at any age if you have Compensation.
- E. **Roth IRA Premium Eligibility** – You are eligible to make a regular Premium to your Roth IRA, regardless of your age, if you have Compensation and your MAGI is below the maximum threshold. Your Roth IRA Premium is not limited by your participation in a retirement plan, other than a Traditional IRA.
- F. **Catch-up Premiums** – If you are age 50 or older by the close of the taxable year, you may make an additional Premium to your IRA. The maximum additional Premium is \$1,000 per year.
- G. **Nonforfeitable** – Your interest in your IRA is nonforfeitable.
- H. **Commingling Assets** – The assets of your IRA cannot be commingled with other property except in a common trust fund or common investment fund.
- I. **Life Insurance** – No portion of your IRA may be invested in life insurance contracts.
- J. **Refund of Premiums** – Any refund of Premiums must be applied before the close of the calendar year following the year of the refund toward the payment of future Premiums or the purchase of additional benefits.
- K. **Collectibles** – You may not invest the assets of your IRA in collectibles (within the meaning of IRC Sec. 408(m)). A collectible is defined as any work of art, rug or antique, metal or gem, stamp or coin, alcoholic beverage, or any other tangible personal property specified by the Internal Revenue Service (IRS). However, specially minted United States gold and silver coins and certain state-issued coins are permissible investments. Platinum coins and certain gold, silver, platinum, or palladium bullion (as described in IRC Sec. 408(m)(3)) are also permitted as IRA investments.
- L. **Required Minimum Distributions and Beneficiary Options for Traditional IRAs** – You are required to take minimum distributions from your

Traditional IRA at certain times in accordance with Treasury Regulation 1.408-8. Below is a summary of the Traditional IRA distribution rules.

1. If you were born before July 1, 1949, you are required to take a minimum distribution from your Traditional IRA for the year in which you reach age 70½ and for each year thereafter. You must take your first distribution by your required beginning date, which is April 1 of the year following the year you attain age 70½. If you were born on or after July 1, 1949, you are required to take a minimum distribution from your IRA for the year in which you reach age 72 and for each year thereafter. You must take your first distribution by your required beginning date, which is April 1 of the year following the year you attain age 72. Minimum distributions may be taken by annuitizing your contract to receive a series of periodic distributions made at intervals not longer than one year. The first distribution that must be made must be the distribution that is required for one payment interval. Payment intervals are the periods for which distributions are made to you (e.g., monthly, quarterly, etc.). The second distribution need not be made until the end of the next payment interval.

The size of your distributions will depend on the rate of return, your age (and the ages of your Beneficiaries, the amount of Premiums you have made to your Traditional IRA, and your distribution option. Your distributions must be made at intervals not longer than one year, over your life or the life of you and your Beneficiary. Distributions may also be made over a period certain not longer than your life expectancy or the life expectancy of you and your Beneficiary determined using the Uniform Lifetime Table provided by the IRS.

2. If you do not annuitize your Traditional IRA, the minimum distribution for any taxable year is equal to the amount obtained by dividing the account balance at the end of the prior year by the applicable divisor.

The applicable divisor is generally determined using the Uniform Lifetime Table provided by the IRS. The table assumes a Beneficiary exactly 10 years younger than you, regardless of who is named as your Beneficiary, if any. If your spouse is your sole Beneficiary, and is more than 10 years younger than you, the required minimum distribution is determined each year using the actual joint life expectancy of you and your spouse, obtained from the Joint Life Expectancy Table provided by the IRS, rather than the life expectancy divisor from the Uniform Lifetime Table.

3. We reserve the right to do any one of the following by your required beginning date:

- (a) Make no distribution until you give us a proper withdrawal request
- (b) Distribute your entire Traditional IRA to you in a single sum payment
- (c) Determine your required minimum distribution each year based on your life expectancy, calculated using the Uniform Lifetime Table, and pay those distributions to you until you direct otherwise, or
- (d) Annuitize your Traditional IRA.

If you fail to remove a required minimum distribution, an additional penalty tax of 50 percent is imposed on the amount of the required minimum distribution that should have been taken but was not. You must file IRS Form 5329 along with your income tax return to report and remit any additional taxes to the IRS.

M. Traditional IRA Beneficiary Distributions – Upon your death, your beneficiaries are required to take distributions according to IRC Sec. 401(a)(9) and Treasury Regulations. These requirements are described below.

1. **Death of IRA Owner Before January 1, 2020** – Your Designated Beneficiary is determined based on the Beneficiaries designated as of the date of your death, who remain your Beneficiaries as of September 30 of the year following the year of your death.

If you die on or after your required beginning date, distributions must be made to your Beneficiaries over the contract option chosen. If distributions are not made in the form of an annuitized payment,

distributions must be made over the longer of the single life expectancy of your Designated Beneficiaries, or your remaining life expectancy. If a Beneficiary other than a person or qualified trust as defined in the Treasury Regulations is named, you will be treated as having no Designated Beneficiary of your Traditional IRA for purposes of determining the distribution period. If there is no Designated Beneficiary of your Traditional IRA, distributions will commence using your single life expectancy, reduced by one in each subsequent year.

If you die before your required beginning date, the entire amount remaining in your Traditional IRA will, at the election of your Designated Beneficiaries, either

- (a) be distributed by December 31 of the year containing the fifth anniversary of your death, or
- (b) be distributed over the remaining life expectancy of your Designated Beneficiaries.

If your spouse is your sole Designated Beneficiary, he or she must elect either option (a) or (b) by the earlier of December 31 of the year containing the fifth anniversary of your death, or December 31 of the year life expectancy payments would be required to begin. Your Designated Beneficiaries, other than a spouse who is the sole Designated Beneficiary, must elect either option (a) or (b) by December 31 of the year following the year of your death. If no election is made, distribution will be calculated in accordance with option (b). In the case of distributions under option (b), distributions must commence by December 31 of the year following the year of your death. Generally, if your spouse is the Designated Beneficiary, distributions need not commence until December 31 of the year you would have attained age 72 (age 70½ if you would have attained age 70½ before 2020), if later. If a Beneficiary other than a person or qualified trust as defined in the Treasury Regulations is named, you will be treated as having no Designated Beneficiary of your IRA for purposes of determining the distribution period. If there is no Designated Beneficiary of your Traditional IRA, the entire Traditional IRA must be distributed by December 31 of the year containing the fifth anniversary of your death.

2. **Death of IRA Owner On or After January 1, 2020.** The following requirements will not apply to a qualified annuity that is a binding annuity contract in effect as of December 20, 2019 and at all times thereafter (instead, such annuity will be subject to the requirements in part 1 of this section, above). A qualified annuity means, with respect to the IRA owner, an annuity

- (a) which is a commercial annuity (as defined in IRC Sec. 3405(e)(6))
- (b) under which the annuity payments are made over the life of the IRA owner or over the joint lives of the IRA owner and a Designated Beneficiary (or over a period not extending beyond the life expectancy of the IRA owner or the joint life expectancy of the IRA owner and a Designated Beneficiary), in accordance with the regulations described in IRC Sec. 401(a)(9)(A)(ii) (as in effect before the SECURE Act amendments to the Beneficiary payment requirements) and which meets the other requirements of IRC Sec. 401(a)(9) with respect to such payments, and
- (c) with respect to which
 - i) annuity payments have begun to the IRA owner before December 20, 2019, and the IRA owner has made an irrevocable election before such date as to the method and amount of the annuity payments to the IRA owner or any Designated Beneficiaries, or
 - ii) if payments have not begun, the IRA owner has made an irrevocable election before December 20, 2019, as to the method and amount of the annuity payments to the IRA owner or any Designated Beneficiaries.

The entire amount remaining in your IRA will generally be distributed by December 31 of the year containing the tenth anniversary of your

death unless you have an eligible Designated Beneficiary or you have no Designated Beneficiary for purposes of determining a distribution period. This requirement applies to Beneficiaries regardless of whether you die before, on, or after your required beginning date.

If your Beneficiary is an eligible Designated Beneficiary, the entire amount remaining in your IRA may be distributed (in accordance with the Treasury Regulations) over the remaining life expectancy of your eligible Designated Beneficiary (or over a period not extending beyond the life expectancy of such Beneficiary).

An eligible Designated Beneficiary is any Designated Beneficiary who is

- your surviving spouse,
- your child who has not reached the age of majority,
- disabled (A physician must determine that the impairment can be expected to result in death or to be of long, continued, and indefinite duration.),
- an individual who is not more than 10 years younger than you, or
- chronically ill (A chronically ill individual is someone who (1) is unable to perform (without substantial assistance from another individual) at least two activities of daily living for an indefinite period due to a loss of functional capacity, (2) has a level of disability similar to the level of disability described above requiring assistance with daily living based on loss of functional capacity, or (3) requires substantial supervision to protect the individual from threats to health and safety due to severe cognitive impairment.)

Note that certain trust Beneficiaries (e.g., certain trusts for disabled and chronically ill individuals) may take distribution of the entire amount remaining in your account over the remaining life expectancy of the trust Beneficiary.

Generally, life expectancy distributions to an eligible Designated Beneficiary must commence by December 31 of the year following the year of your death. However, if your spouse is the eligible Designated Beneficiary, distributions need not commence until December 31 of the year you would have attained age 72, if later. If your eligible Designated Beneficiary is your minor child, life expectancy payments must begin by December 31 of the year following the year of your death and continue until the child reaches the age of majority. Once the age of majority is reached, the Beneficiary will have 10 years to deplete the account.

If a Beneficiary other than a person (e.g., your estate, a charity, or a certain type of trust) is named, you will be treated as having no Designated Beneficiary of your IRA for purposes of determining the distribution period. If you die before your required beginning date and there is no Designated Beneficiary of your IRA, the entire IRA must be distributed by December 31 of the year containing the fifth anniversary of your death. If you die on or after your required beginning date and there is no Designated Beneficiary of your IRA, distributions will commence using your single life expectancy, reduced by one in each subsequent year.

A spouse who is the sole Designated Beneficiary of your entire Traditional IRA will be deemed to elect to treat your Traditional IRA as his or her own by either (1) making Premiums to your Traditional IRA or (2) failing to timely remove a required minimum distribution from your Traditional IRA. Regardless of whether or not the spouse is the sole Designated Beneficiary of your Traditional IRA, a spouse Beneficiary may roll over his or her share of the assets to his or her own Traditional IRA.

If your Beneficiary fails to remove a required minimum distribution after your death, an additional penalty tax of 50 percent is imposed on the amount of the required minimum distribution that should have been taken but was not. Your Beneficiary must file IRS Form 5329 along with his or her income tax return to report and remit any additional taxes to the IRS.

N. Required Minimum Distributions for Roth IRAs – You are not required to take distributions from your Roth IRA during your lifetime (as required for Traditional IRAs). However, your Beneficiaries generally are required to take distributions from your Roth IRA after your death. See the section titled *Roth IRA Beneficiary Distributions* in this Disclosure Statement regarding Beneficiaries' required minimum distributions.

O. Qualifying Longevity Annuity Contracts and RMDs for Traditional IRAs – A qualifying longevity annuity contract (QLAC) is a deferred annuity contract that, among other requirements, must guarantee lifetime income starting no later than age 85. The total premiums paid to QLACs in your Traditional and SIMPLE IRAs must not exceed 25 percent (up to \$125,000) of the combined value of your IRAs (excluding Roth IRAs). The \$125,000 limit is subject to cost-of-living adjustments each year.

When calculating your RMD, you may reduce the prior year end account value by the value of QLACs that your Traditional IRA holds as investments.

For more information on QLACs, you may wish to refer to the IRS website at www.irs.gov.

P. Roth IRA Beneficiary Distributions - Upon your death, your Beneficiaries are required to take distributions according to IRC Sec. 401(a)(9) and Treasury Regulation 1.408-8. These requirements are described below.

1. Death of Roth IRA Owner Before January 1, 2020 – Your Designated Beneficiary is determined based on the Beneficiaries designated as of the date of your death who remains your Beneficiaries as of September 30 of the year following the year of your death. If you die,

- (a) on or after your distributions have irrevocably commenced due to the annuitization of the Contract, distributions must be made to your Beneficiaries according to the distribution option you chose.
- (b) before your distributions have irrevocably commenced, distributions will, at the election of your Beneficiaries, either
 - (i) be distributed by December 31 of the year containing the fifth anniversary of your death, or
 - (ii) be distributed over the remaining life expectancy of your Designated Beneficiaries.

If your spouse is your sole Designated Beneficiary, he or she must elect either option (i) or (ii) by the earlier of December 31 of the year containing the fifth anniversary of your death, or December 31 of the year life expectancy payments would be required to begin. Your Designated Beneficiaries, other than a spouse who is the sole Designated Beneficiary, must elect either option (i) or (ii) by December 31 of the year following the year of your death. If no election is made, distribution will be calculated in accordance with option (ii). In the case of a distribution under option (ii), distributions must commence by December 31 of the year following the year of your death. Generally, if your spouse is the Designated Beneficiary, distributions need not commence until December 31 of the year you would have attained age 72 (70% if you would have attained 70% before 2020), if later. If a Beneficiary other than a person or qualified trust as defined in the Treasury Regulations is named, you will be treated as having no Designated Beneficiary of your Roth IRA for purposes of determining the distribution period. If there is no Designated Beneficiary of your Roth IRA, the entire Roth IRA must be distributed by December 31 of the year containing the fifth anniversary of your death.

2. Death of IRA Owner On or After January 1, 2020 – The following requirements will not apply to a qualified annuity that is a binding annuity contract in effect as of December 20, 2019 and at all times thereafter (instead, such annuities will be subject to the requirements in part 1 of this section, above). A qualified annuity means, with respect to the Roth IRA owner, an annuity

- (a) which is a commercial annuity (as defined in IRC Sec. 3405(e)(6))
- (b) under which the annuity payments are made over the life of the Roth IRA owner or over the joint lives of the Roth IRA owner and a

Designated Beneficiary (or over a period not extending beyond the life expectancy of the Roth IRA owner or the joint life expectancy of the Roth IRA owner and a Designated Beneficiary), in accordance with the regulations described in IRC Sec. 401(a)(9)(A)(ii) (as in effect before the SECURE Act amendments to the Beneficiary payment requirements) and which meets the other requirements of IRC Sec. 401(a)(9) with respect to such payments, and

(c) with respect to which

- (i) annuity payments have begun to the Roth IRA owner before December 20, 2019, and the Roth IRA owner has made an irrevocable election before such date as to the method and amount of the annuity payments to the Roth IRA owner or any Designated Beneficiaries, or
- (ii) if payments have not begun, the Roth IRA owner has made an irrevocable election before December 20, 2019, as to the method and amount of the annuity payment to the Roth IRA owner or any Designated Beneficiaries.

The entire amount remaining in your Roth IRA will generally be distributed by December 31 of the year containing the tenth anniversary of your death unless you have an eligible Designated Beneficiary or you have no Designated Beneficiary for purposes of determining a distribution period. This requirement applies to Beneficiaries regardless of whether you die before, on, or after your required beginning date.

If your Beneficiary is an eligible Designated Beneficiary, the entire amount remaining in your Roth IRA may be distributed (in accordance with the Treasury Regulations) over the remaining life expectancy of your eligible Designated Beneficiary (or over a period not extending beyond the life expectancy of such Beneficiary).

An eligible Designated Beneficiary is any Designated Beneficiary who is

- your surviving spouse,
- your child who has not reached the age of majority,
- disabled (A physician must determine that the impairment can be expected to result in death or to be of long, continued, and indefinite duration.),
- an individual who is not more than 10 years younger than you, or
- chronically ill (A chronically ill individual is someone who (1) is unable to perform (without substantial assistance from another individual) at least two activities of daily living for an indefinite period due to a loss of functional capacity, (2) has a level of disability similar to the level of disability described above requiring assistance with daily living based on loss of functional capacity, or (3) requires substantial supervision to protect the individual from threats to health and safety due to severe cognitive impairment.)

Note that certain trust Beneficiaries (e.g., certain trusts for disabled and chronically ill individuals) may take distribution of the entire amount remaining in your account over the remaining life expectancy of the trust Beneficiary.

Generally, life expectancy distributions to an eligible Designated Beneficiary must commence by December 31 of the year following the year of your death. However, if your spouse is the eligible Designated Beneficiary, distributions need not commence until December 31 of the year you would have attained age 72, if later. If your eligible Designated Beneficiary is your minor child, life expectancy payments must begin by December 31 of the year following the year of your death and continue until the child reaches the age of majority. Once the age of majority is reached, the Beneficiary will have 10 years to deplete the account.

If a Beneficiary other than a person (e.g., your estate, a charity, or a certain type of trust) is named, you will be treated as having no Designated Beneficiary of your IRA for purposes of determining the distribution period. If there is no Designated Beneficiary of your Roth

IRA, the entire Roth IRA must be distributed by December 31 of the year containing the fifth anniversary of your death.

A spouse who is the sole Designated Beneficiary of your entire Roth IRA will be deemed to elect to treat your Roth IRA as his or her own by either (1) making Premiums to your Roth IRA or (2) failing to timely remove a required minimum distribution from your Roth IRA. Regardless of whether or not the spouse is the sole Designated Beneficiary of your Roth IRA, a spouse Beneficiary may roll over his or her share of the assets to his or her own Roth IRA.

If your Beneficiary fails to remove a required minimum distribution after your death, an additional penalty tax of 50 percent is imposed on the amount of the required minimum distribution that should have been taken but was not. Your Beneficiary must file IRS Form 5329 along with his or her income tax return to report and remit any additional taxes to the IRS.

- Q. Waiver of 2020 RMD** – In spite of the general rules described above, if you are a Traditional IRA owner age 70½ or older, you are not required to remove an RMD for calendar year 2020. This RMD waiver also applies to Traditional IRA owners who attained age 70½ in 2019 but did not take their first RMD before January 1, 2020. In addition, no Traditional or Roth IRA beneficiary life expectancy payments are required for calendar year 2020. If the five-year rule applies to an IRA with respect to any decedent, the five-year period is determined without regard to calendar year 2020. For example, if an IRA owner died in 2017, the beneficiary's five-year period ends in 2023 instead of 2022.

INCOME TAX CONSEQUENCES OF ESTABLISHING AN IRA

- A. Premium Deductibility for Traditional IRAs** – If you are eligible to make Premiums to your IRA, the amount of the Premium for which you may take a tax deduction will depend upon whether you (or, in some cases, your spouse) are an active participant in an employer-sponsored retirement plan. If you (and your spouse, if married) are not an active participant, your entire IRA Premium will be deductible. If you are an active participant (or are married to an active participant), the deductibility of your IRA Premium will depend on your modified adjusted gross income (MAGI) and your tax filing status for the tax year for which the Premium was made. MAGI is determined on your income tax return using your adjusted gross income but disregarding any deductible IRA Premium and certain other deductions and exclusions.

Definition of Active Participant – Generally, you will be an active participant if you are covered by one or more of the following employer-sponsored retirement plans:

1. Qualified pension, profit sharing, 401(k), or stock bonus plan;
2. Qualified annuity plan of an employer;
3. Simplified employee pension (SEP) plan;
4. Retirement plan established by the federal government, a state, or a political subdivision (except certain unfunded deferred compensation plans under IRC Sec. 457);
5. Tax-sheltered annuity for employees of certain tax-exempt organizations or public schools;
6. Plan meeting the requirements of IRC Sec. 501(c)(18); and
7. Savings incentive match plan for employees of small employers (SIMPLE) IRA plan or a SIMPLE 401(k) plan.

If you do not know whether your employer maintains one of these plans, or whether you are an active participant in a plan, check with your employer or your tax advisor. Also, the IRS Form W-2, *Wage and Tax Statement*, that you receive at the end of the year from your employer will indicate whether you are an active participant.

If you are an active participant, are single, and have MAGI within the applicable phase-out range listed below, the deductible amount of your Premium is determined as follows. (1) Begin with the appropriate phase-out range maximum for the applicable year (specified below) and subtract your MAGI; (2) divide this total by the difference between the phase-out maximum and minimum; and (3) multiply this number by the maximum allowable Premium for the applicable year, including catch-up Premiums if you are age 50 or older. The resulting figure will be the maximum IRA deduction you may take. For example, if you are age 30 with MAGI of

\$66,000 in 2020, your maximum deductible Premium is \$5,400 (the 2020 phase-out range maximum of \$75,000 minus your MAGI of \$66,000, divided by the difference between the maximum and minimum phase-out range limits of \$10,000, and multiplied by the Premium limit of \$6,000).

If you are an active participant, are married to an active participant and you file a joint income tax return, and have MAGI within the applicable phase-out range listed below, the deductible amount of your Premium is determined as follows. (1) Begin with the appropriate phase-out maximum for the applicable year (specified below) and subtract your MAGI; (2) divide this total by the difference between the phase-out range maximum and minimum; and (3) multiply this number by the maximum allowable Premium for the applicable year, including catch-up Premiums if you are age 50 or older. The resulting figure will be the maximum IRA deduction you may take. For example, if you are age 30 with MAGI of \$107,000 in 2020, your maximum deductible Premium is \$5,100 (the 2020 phase-out maximum of \$124,000 minus your MAGI of \$107,000, divided by the difference between the maximum and minimum phase-out limits of \$20,000, and multiplied by the Premium limit of \$6,000).

If you are an active participant, are married and you file a separate income tax return, your MAGI phase-out range is generally \$0–\$10,000. However, if you lived apart for the entire tax year, you are treated as a single filer.

Tax Year	Joint Filers	Single Taxpayers
	Phase-Out Range*	Phase-Out Range*
	(minimum)(maximum)	(minimum)(maximum)
2013	\$95,000–115,000	\$59,000–69,000
2014	\$96,000–116,000	\$60,000–70,000
2015	\$98,000–118,000	\$61,000–71,000
2016	\$98,000–118,000	\$61,000–71,000
2017	\$99,000–119,000	\$62,000–72,000
2018	\$101,000–121,000	\$63,000–73,000
2019	\$103,000–123,000	\$64,000–74,000
2020	\$104,000–124,000	\$65,000–75,000

*MAGI limits are subject to cost-of-living adjustments each year.

The MAGI phase-out range for an individual that is not an active participant, but is married to an active participant, is \$193,000–\$203,000 (for 2019) and \$196,000–\$206,000 (for 2020). This limit is also subject to cost-of-living increases for tax years after 2020. If you are not an active participant in an employer-sponsored retirement plan, are married to someone who is an active participant, and you file a joint income tax return with MAGI between the applicable phase-out range for the year, your maximum deductible Premium is determined as follows. (1) Begin with the appropriate MAGI phase-out maximum for the year and subtract your MAGI; (2) divide this total by the difference between the phase-out range maximum and minimum; and (3) multiply this number by the maximum allowable Premium for the applicable year, including catch-up Premiums if you are age 50 or older. The resulting figure will be the maximum IRA deduction you may take.

You must round the resulting deduction to the next highest \$10 if the number is not a multiple of 10. If your resulting deduction is between \$0 and \$200, you may round up to \$200.

- B. **Premium Deductibility for Roth IRAs** – No deduction is allowed for Roth IRA Premiums, including transfers, rollovers, and conversion Premiums.
- C. **Premium Deadline** – The deadline for making an IRA Premium is your tax return due date (not including extensions). You may designate a Premium as a Premium for the preceding taxable year in a manner acceptable to us. For example, if you are a calendar year taxpayer, and you make your IRA Premium on or before your tax filing deadline, your Premium is considered to have been made for the previous tax year if you designate it as such.

If you are a member of the Armed Forces serving in a combat zone, hazardous duty area, or contingency operation, you may have an extended Premium deadline of 180 days after the last day served in the area. In addition, your Premium deadline for a particular tax year is also extended by the number of days that remained to file that year's tax return as of the date you entered the combat zone. This additional extension to make your Roth

IRA Premium cannot exceed the number of days between January 1 and your tax filing deadline, not including extensions.

- D. **Tax Credit for Premiums** – You may be eligible to receive a tax credit for your Traditional or Roth IRA Premiums. This credit will be allowed in addition to any tax deduction that may apply, and may not exceed \$1,000 in a given year. You may be eligible for this tax credit if you are
- age 18 or older as of the close of the taxable year,
 - not a dependent of another taxpayer, and
 - not a full-time student.

The credit is based upon your income (see chart below) and will range from 0 to 50 percent of eligible Premiums. In order to determine the amount of your Premiums, add all of the Premiums made to your Traditional or Roth IRAs and reduce these Premiums by any distributions that you have taken during the testing period. The testing period begins two years prior to the year for which the credit is sought and ends on the tax return due date (including extensions) for the year for which the credit is sought. In order to determine your tax credit, multiply the applicable percentage from the chart below by the amount of your Premiums that do not exceed \$2,000.

2019 Adjusted Gross Income*			Applicable Percentage
Joint Return	Head of a Household	All Other Cases	
\$1–38,500	\$1–28,875	\$1–19,250	50
\$38,501–41,500	\$28,876–31,125	\$19,251–20,750	20
\$41,501–64,000	\$31,126–48,000	\$20,751–32,000	10
Over \$64,000	Over \$48,000	Over \$32,000	0

2020 Adjusted Gross Income*			Applicable Percentage
Joint Return	Head of a Household	All Other Cases	
\$1–39,000	\$1–29,250	\$1–19,500	50
\$39,001–42,500	\$29,251–31,875	\$19,501–21,250	20
\$42,501–65,000	\$31,876–48,750	\$21,251–32,500	10
Over \$65,000	Over \$48,750	Over \$32,500	0

*Adjusted gross income (AGI) includes foreign earned income and income from Guam, America Samoa, North Mariana Islands, and Puerto Rico. AGI limits are subject to cost-of-living adjustments each year.

- E. **Excess Premiums** – An excess Premium is any amount that is contributed to your IRA that exceeds the amount that you are eligible to contribute. If the excess is not corrected timely, an additional penalty tax of six percent will be imposed upon the excess amount. The procedure for correcting an excess is determined by the timeliness of the correction as identified below.
1. **Removal Before Your Tax Filing Deadline.** An excess Premium may be corrected by withdrawing the excess amount, along with the earnings attributable to the excess, before your tax filing deadline, including extensions, for the year for which the excess Premium was made. An excess withdrawn under this method is not taxable to you, but you must include the earnings attributable to the excess in your taxable income in the year in which the Premium was made. The six percent excess contribution penalty tax will be avoided.
 2. **Removal After Your Tax Filing Deadline.** If you are correcting an excess Premium after your tax filing deadline, including extensions, remove only the amount of the excess Premium. The six percent excess contribution penalty tax will be imposed on the excess Premium for each year it remains in the IRA. An excess withdrawal under this method will only be taxable to you if the total Premiums made in the year of the excess exceed the annual applicable Premium limit.
 3. **Carry Forward to a Subsequent Year.** If you do not withdraw the excess Premium, you may carry forward the Premium for a subsequent tax year. To do so, you under-contribute for that tax year and carry the excess Premium amount forward to that year on your tax return. The six percent excess contribution penalty tax will be imposed on the

excess amount for each year that it remains as an excess Premium at the end of the year.

You must file IRS Form 5329 along with your income tax return to report and remit any additional taxes to the IRS.

F. **Tax-Deferred Earnings** – The investment earnings of your IRA are not subject to federal income tax as they accumulate in your IRA. Investment earnings distributed from your Traditional IRA will be taxed when the distribution is made. Distributions of your Roth IRA investment earnings will be free from federal income tax if you take a qualified distribution, as defined in the *Taxation of Roth IRA Distributions* section of this Disclosure Statement.

G. **Nondeductible Premiums** – You may make nondeductible Premiums to your Traditional IRA to the extent that deductible Premiums are not allowed. The sum of your deductible and nondeductible IRA Premiums cannot exceed your Premium limit (the lesser of the allowable Premium limit described previously, or 100 percent of Compensation). You may elect to treat deductible Traditional IRA Premiums as nondeductible Premiums.

If you make nondeductible Premiums for a particular tax year, you must report the amount of the nondeductible Premium along with your income tax return using IRS Form 8606. Failure to file IRS Form 8606 will result in a \$50 per failure penalty.

If you overstate the amount of designated nondeductible Premiums for any taxable year, you are subject to a \$100 penalty unless reasonable cause for the overstatement can be shown.

H. **Taxation of Traditional IRA Distributions** – The taxation of Traditional IRA distributions depends on whether or not you have ever made nondeductible Traditional IRA Premiums. If you have only made deductible Premiums, all Traditional IRA distribution amounts will be included in income.

If you have ever made nondeductible Premiums to any Traditional IRA, the following formula must be used to determine the amount of any Traditional IRA distribution excluded from income.

$$\frac{\text{(Aggregate Nondeductible Premiums)} \times \text{(Amount Withdrawn)}}{\text{Aggregate IRA Balance}} = \text{Amount Excluded From Income}$$

NOTE: Aggregate nondeductible Premiums include all nondeductible Premiums made by you through the end of the year of the distribution that have not previously been withdrawn and excluded from income. Also note that the aggregate IRA balance includes the total balance of all of your Traditional and SIMPLE IRAs as of the end of the year of distribution, plus any distributions occurring during the year.

I. **Taxation of Roth IRA Distributions** – The taxation of Roth IRA distributions depends on whether the distribution is a qualified distribution or a nonqualified distribution.

1. **Qualified Distributions** – Qualified distributions from your Roth IRA (both the Premiums and earnings) are not included in your income. A qualified distribution is a distribution that is made after the expiration of the five-year period beginning January 1 of the first year for which you made a Premium to any Roth IRA (including a conversion from a Traditional IRA or a rollover from an employer-sponsored retirement plan), and is made on account of one of the following events:

- Attainment of age 59½
- Disability
- First-time homebuyer purchase
- Death

For example, if you made a Premium payment to your Roth IRA for 2015, the five-year period for determining whether a distribution is a qualified distribution is satisfied as of January 1, 2020.

2. **Nonqualified Distributions** – If you do not meet the requirements for a qualified distribution, any earnings you withdraw from your Roth IRA will be included in your gross income and, if you are under age 59½, may be subject to an early distribution penalty tax.

However, when you take a distribution, the Premiums you deposited annually to any Roth IRA and any military death gratuity or Servicemembers' Group Life Insurance (SGLI) payments that you rolled over to a Roth IRA, will be deemed to be removed first, followed by conversion and employer-sponsored retirement plan rollover Premiums made to any Roth IRA on a first-in, first-out basis. Therefore, your nonqualified distributions will not be taxable to you until your withdrawals exceed the amount of your annual Premiums, military death gratuity or SGLI payments and your conversions and employer-sponsored retirement plan rollovers.

J. **Income Tax Withholding** – Any withdrawal from your Traditional IRA and any nonqualified withdrawal of earnings from your Roth IRA is subject to federal income tax withholding. You may, however, elect not to have withholding apply to your IRA withdrawal. If withholding is applied to your withdrawal, not less than 10 percent of the amount withdrawn must be withheld.

K. **Early Distribution Penalty Tax** – If you receive a Traditional IRA distribution or a nonqualified Roth IRA distribution before you attain age 59½, an additional early distribution penalty tax of 10 percent generally will apply to the taxable amount of the distribution unless one of the following exceptions apply. 1) **Death.** After your death, payments made to your Beneficiary are not subject to the 10 percent early distribution penalty tax. 2) **Disability.** If you are disabled at the time of distribution, you are not subject to the additional 10 percent early distribution penalty tax. In order to be disabled, a physician must determine that your impairment can be expected to result in death or to be of long, continued, and indefinite duration. 3) **Substantially equal periodic payments.** You are not subject to the additional 10 percent early distribution penalty tax if you are taking a series of substantially equal periodic payments (at least annual payments) over your life expectancy or the joint life expectancy of you and your Beneficiary. You must continue these payments for the longer of five years or until you reach age 59½. 4) **Unreimbursed medical expenses.** If you take payments to pay for unreimbursed medical expenses that exceed a specified percentage of your adjusted gross income, you will not be subject to the 10 percent early distribution penalty tax. For further detailed information and effective dates you may obtain IRS Publication 590-B, *Distributions from Individual Retirement Arrangements (IRAs)*, from the IRS. The medical expenses may be for you, your spouse, or any dependent listed on your tax return. 5) **Health insurance premiums.** If you are unemployed and have received unemployment compensation for 12 consecutive weeks under a federal or state program, you may take payments from your IRA to pay for health insurance premiums without incurring the 10 percent early distribution penalty tax. 6) **Higher education expenses.** Payments taken for certain qualified higher education expenses for you, your spouse, or the children or grandchildren of you or your spouse, will not be subject to the 10 percent early distribution penalty tax. 7) **First-time homebuyer.** You may take payments from your IRA to use toward qualified acquisition costs of buying or building a principal residence. The amount you may take for this reason may not exceed a lifetime maximum of \$10,000. The payment must be used for qualified acquisition costs within 120 days of receiving the distribution. 8) **IRS levy.** Payments from your IRA made to the U.S. government in response to a federal tax levy are not subject to the 10 percent early distribution penalty tax. 9) **Qualified reservist distributions.** If you are a qualified reservist member called to active duty for more than 179 days or an indefinite period, the payments you take from your IRA during the active duty period are not subject to the 10 percent early distribution penalty tax. 10) **Qualified birth or adoption.** Payments from your IRA for the birth of your child or the adoption of an eligible adoptee will not be subject to the 10 percent early distribution penalty tax if the distribution is taken during the one-year period beginning on the date of birth of your child or the date on which your legal adoption of an eligible adoptee is finalized. An eligible adoptee means any individual (other than your spouse's child) who has not attained age 18 or is physically or mentally incapable of self-support. The aggregate amount you may take for this reason may not exceed \$5,000 for each birth or adoption.

You must file IRS Form 5329 along with your income tax return to the IRS to report and remit any additional taxes or to claim a penalty tax exception.

- L. **Rollovers and Conversions** – Your IRA may be rolled over to an IRA of yours, or may receive rollover Premiums. Your Traditional IRA or SIMPLE IRA may be converted to a Roth IRA, provided that all of the applicable rollover and conversion rules are followed. Rollover is a term used to describe a movement of cash or other property to your IRA from another IRA of the same type, or from your employer's qualified retirement plan, 403(a) annuity plan, 403(b) tax-sheltered annuity, 457(b) eligible governmental deferred compensation plan, or federal Thrift Savings Plan. Conversion is a term used to describe the movement of Traditional or SIMPLE IRA assets to a Roth IRA. A conversion is generally a taxable event. The general rollover and conversion rules are summarized below. These transactions are often complex. If you have any questions regarding a rollover or conversion, please see a competent tax advisor.

1. **Traditional IRA-to-Traditional IRA Rollovers.** Assets distributed from your Traditional IRA may be rolled over to the same Traditional IRA or another Traditional IRA of yours if the requirements of IRC Sec. 408(d)(3) are met. A proper IRA-to-IRA rollover is completed if all or part of the distribution is rolled over not later than 60 days after the distribution is received. In the case of a distribution for a first-time homebuyer where there was a delay or cancellation of the purchase, the 60-day rollover period may be extended to 120 days.

You are permitted to roll over only one distribution from an IRA (Traditional, Roth, or SIMPLE) in a 12-month period, regardless of the number of IRAs you own. A distribution may be rolled over to the same IRA or to another IRA that is eligible to receive the rollover. For more information on rollover limitations, you may wish to obtain IRS Publication 590-B, *Distributions from Individual Retirement Arrangements (IRAs)*, from the IRS or refer to the IRS website at www.irs.gov.

2. **SIMPLE IRA-to-Traditional IRA Rollovers.** Assets distributed from your SIMPLE IRA may be rolled over to your Traditional IRA without IRS penalty tax provided two years have passed since you first participated in a SIMPLE IRA plan sponsored by your employer. As with Traditional IRA to Traditional IRA rollovers, the requirements of IRC Sec. 408(d)(3) must be met. A proper SIMPLE IRA to IRA rollover is completed if all or part of the distribution is rolled over not later than 60 days after the distribution is received.

You are permitted to roll over only one distribution from an IRA (Traditional, Roth, or SIMPLE) in a 12-month period, regardless of the number of IRAs you own. A distribution may be rolled over to the same IRA or to another IRA that is eligible to receive the rollover. For more information on rollover limitations, you may wish to obtain IRS Publication 590-B, *Distributions from Individual Retirement Arrangements (IRAs)*, from the IRS or refer to the IRS website at www.irs.gov.

3. **Roth IRA-to-Roth IRA Rollovers.** Assets distributed from your Roth IRA may be rolled over to the same Roth IRA or another Roth IRA of yours if the requirements of IRC Sec. 408(d)(3) are met. A proper Roth IRA-to-Roth IRA rollover is completed if all or part of the distribution is rolled over not later than 60 days after the distribution is received. In the case of a distribution for a first-time homebuyer where there was a delay or cancellation of the purchase, the 60-day rollover period may be extended to 120 days. Roth IRA assets may not be rolled over to other types of IRAs (e.g., Traditional IRA, SIMPLE IRA), or employer-sponsored retirement plans.

You are permitted to roll over only one distribution from an IRA (Traditional, Roth, or SIMPLE) in a 12-month period, regardless of the number of IRAs you own. A distribution may be rolled over to the same IRA or to another IRA that is eligible to receive the rollover. For more information on rollover limitations, you may wish to obtain IRS Publication 590-B, *Distributions from Individual Retirement Arrangements (IRAs)*, from the IRS or refer to the IRS website at www.irs.gov.

4. **Employer-Sponsored Retirement Plan-to-Traditional IRA Rollovers.**

You may roll over, directly or indirectly, any eligible rollover distribution from an eligible employer-sponsored retirement plan. An eligible rollover distribution is defined generally as any distribution from a qualified retirement plan, 403(a) annuity, 403(b) tax-sheltered annuity, 457(b) eligible governmental deferred compensation plan (other than distributions to nonspouse beneficiaries), or federal Thrift Savings Plan unless it is part of a certain series of substantially equal periodic payments, a required minimum distribution, a hardship distribution, or a distribution of Roth elective deferrals from a 401(k), 403(b), governmental 457(b), or federal Thrift Savings Plan.

If you elect to receive your rollover distribution prior to placing it in an IRA, thereby conducting an indirect rollover, your plan administrator generally will be required to withhold 20 percent of your distribution as a payment of income taxes. When completing the rollover, you may make up out of pocket the amount withheld, and roll over the full amount distributed from your employer-sponsored retirement plan. To qualify as a rollover, your eligible rollover distribution generally must be rolled over to your IRA not later than 60 days after you receive the distribution. In the case of a plan loan offset due to plan termination or severance from employment, the deadline for completing the rollover is your tax return due date (including extensions) for the year in which the offset occurs. Alternatively, you may claim the withheld amount as income, and pay the applicable income tax, and if you are under age 59½, the 10 percent early distribution penalty tax (unless an exception to the penalty applies).

As an alternative to the indirect rollover, your employer generally must give you the option to directly roll over your employer-sponsored retirement plan balance to an IRA. If you elect the direct rollover option, your eligible rollover distribution will be paid directly to the IRA (or other eligible employer-sponsored retirement plan) that you designate. The 20 percent withholding requirements do not apply to direct rollovers.

5. **Traditional IRA-to-SIMPLE IRA Rollovers.** Assets distributed from your Traditional IRA may be rolled over to a SIMPLE IRA if the requirements of IRC Sec. 408(d)(3) are met and two years have passed since you first participated in a SIMPLE IRA plan sponsored by your employer. A proper Traditional IRA-to-SIMPLE IRA rollover is completed if all or part of the distribution is rolled over not later than 60 days after the distribution is received. In the case of a distribution for a first-time homebuyer where there was a delay or cancellation of the purchase, the 60-day rollover period may be extended to 120 days.

You are permitted to roll over only one distribution from an IRA (Traditional, Roth, or SIMPLE) in a 12-month period, regardless of the number of IRAs you own. A distribution may be rolled over to the same IRA or to another IRA that is eligible to receive the rollover. For more information on rollover limitations, you may obtain IRS Publication 590-B, *Distributions from Individual Retirement Arrangements (IRAs)*, from the IRS or refer to the IRS website at www.irs.gov.

6. **Traditional IRA-to-Employer-Sponsored Retirement Plans.** You may roll over, directly or indirectly, any taxable eligible rollover distribution from a Traditional IRA to your qualified retirement plan, 403(a) annuity, 403(b) tax-sheltered annuity, or 457(b) eligible governmental deferred compensation plan as long as the employer-sponsored retirement plan accepts such rollover contributions. An eligible rollover distribution is defined as any taxable distribution from a Traditional IRA that is not a part of a required minimum distribution.

7. **Rollovers of Roth Elective Deferrals.** Roth elective deferrals distributed from a 401(k) cash or deferred arrangement, 403(b) tax-sheltered annuity, 457(b) eligible governmental deferred compensation plan, or federal Thrift Savings Plan, may only be rolled into your Roth IRA.

8. **Traditional IRA or SIMPLE IRA-to-Roth IRA Conversions.** You are eligible to convert all or any portion of your existing Traditional IRA(s) into your Roth IRA(s). You may also convert your SIMPLE IRA to your Roth IRA provided two years have passed since you first participated

in a SIMPLE IRA plan sponsored by your Employer. The amount of the conversion from your Traditional IRA or SIMPLE IRA to your Roth IRA shall be treated as a distribution for income tax purposes, and is includible in your gross income (except for any nondeductible Premiums). Although the conversion amount is generally included in income, the 10 percent early distribution penalty tax shall not apply to conversions from a Traditional IRA or SIMPLE IRA to a Roth IRA, regardless of whether you qualify for any exceptions to the 10 percent penalty tax. If you are age required to take a required minimum distribution for the year, you must remove your required minimum distribution prior to converting your Traditional IRA or SIMPLE IRA.

9. Employer-Sponsored Retirement Plan-to-Roth IRA Rollovers. You may roll over, directly or indirectly, any eligible rollover distribution from an eligible employer-sponsored retirement plan to your Roth IRA. An eligible rollover distribution is defined generally as any distribution from a qualified retirement plan, 403(a) annuity, 403(b) tax-sheltered annuity, 457(b) eligible governmental deferred compensation plan, or federal Thrift Savings Plan unless it is a required minimum distribution, hardship distribution, part of a certain series of substantially equal periodic payments, corrective distributions of excess contributions, excess deferrals, excess annual additions and any income allocable to the excess, deemed loan distribution, dividends on employer securities, or the cost of life insurance coverage.

If you are conducting an indirect rollover, your eligible rollover distribution generally must be rolled over to your Roth IRA not later than 60 days after you receive the distribution. In the case of a plan loan offset due to plan termination or severance from employment, the deadline for completing the rollover is your tax return due date (including extensions) for the year in which the offset occurs.

Although the rollover amount generally is included in income, the 10 percent early distribution penalty tax will not apply to rollovers from eligible employer-sponsored retirement plans to a Roth IRA or inherited Roth IRA, regardless of whether you qualify for any exceptions to the 10 percent early distribution penalty tax.

10. Beneficiary Rollovers from Employer-Sponsored Retirement Plans. If you are a spouse or nonspouse Beneficiary of a deceased employer-sponsored retirement plan participant, or the trustee of an eligible type of trust named as Beneficiary of such participant, you may directly roll over inherited assets from a qualified retirement plan, 403(a) annuity, 403(b) tax-sheltered annuity, or 457(b) governmental deferred compensation plan to an inherited IRA. The IRA must be maintained as an inherited IRA, subject to the Beneficiary distribution requirements.

11. Beneficiary Rollovers From 401(k), 403(b), or 457(b) Eligible Governmental Plans Containing Roth Elective Deferrals. If you are a spouse Beneficiary, nonspouse Beneficiary, or the trustee of an eligible type of trust named as Beneficiary of a deceased 401(k), 403(b), or 457(b) eligible governmental deferred compensation plan participant who had made Roth elective deferrals to the plan, you may directly roll over the Roth elective deferrals and their earnings to an inherited Roth IRA, subject to the Beneficiary distribution requirements.

12. Rollover of Military Death Benefits. If you receive or have received a military death gratuity or a payment from the Servicemembers' Group Life Insurance (SGLI) program, you may be able to roll over the proceeds to your Roth IRA. The rollover Premium amount is limited to the sum of the death benefits or SGLI payment received, less any such amount that was rolled over to a Coverdell education savings account. Proceeds must be rolled over within one year of receipt of the gratuity or SGLI payment for deaths occurring on or after June 17, 2008. Any amount that is rolled over under this provision is considered nontaxable basis in your Roth IRA.

13. Qualified HSA Funding Distribution. If you are eligible to contribute to a health savings account (HSA), you may be eligible to take a one-time tax-free HSA funding distribution from your IRA and directly deposit it to your HSA. The amount of the qualified HSA funding distribution may

not exceed the maximum HSA contribution limit in effect for the type of high deductible health plan coverage (i.e., single or family coverage) that you have at the time of the deposit, and counts toward your HSA contribution limit for that year. For further detailed information, you may wish to obtain IRS Publication 969, *Health Savings Accounts and Other Tax-Favored Health Plans*.

14. Rollovers of Settlement Payments From Bankrupt Airlines. If you are a qualified airline employee who has received a qualified airline settlement payment from a commercial airline carrier under the approval of an order of a federal bankruptcy court in a case filed after September 11, 2001, and before January 1, 2007, you are allowed to roll over any portion of the proceeds into your Roth IRA, or up to 90 percent of the proceeds to your Traditional IRA, within 180 days after receipt of such amount, or by a later date if extended by federal law. If you make such a rollover Premium, you may exclude the amount rolled over from your gross income in the taxable year in which the airline settlement payment was paid to you. For further detailed information and effective dates you may obtain IRS Publication 590-A, *Contributions to Individual Retirement Arrangements (IRAs)*, from the IRS website at www.irs.gov.

15. Rollover of Exxon Valdez Settlement Payments. If you receive a qualified settlement payment from Exxon Valdez litigation, you may roll over the amount of the settlement, up to \$100,000, reduced by the amount of any qualified Exxon Valdez settlement income previously contributed to an IRA or eligible retirement plan in prior taxable years. You will have until your tax return due date (not including tax extensions) for the year in which the qualified settlement income is received to make the rollover Premium. To obtain more information on this type of rollover, you may wish to visit the IRS website at www.irs.gov.

16. Rollover of IRS Levy. If you receive a refund of eligible retirement plan assets that had been wrongfully levied, you may roll over the amount returned up until your tax return due date (not including extensions) for the year in which the money was returned.

17. Repayment of Qualified Birth or Adoption Distribution. If you have taken a qualified birth or adoption distribution, you may generally repay all or a portion of the aggregate amount of such distribution to an IRA, as permitted by the IRS. For further information, you may wish to obtain IRS Publication 590-A, *Contributions to Individual Retirement Arrangements (IRAs)*, by visiting www.irs.gov on the Internet.

18. Written Election. At the time you make a rollover to an IRA, or conversion to a Roth IRA, you must designate in writing to the Issuer your election to treat that Premium as a rollover or conversion. Once made, the election is irrevocable.

M. Transfer Due to Divorce – If all or any part of your IRA is awarded to your spouse or former spouse in a divorce or legal separation proceeding, the amount so awarded will be treated as the spouse's IRA (and may be transferred pursuant to a court-approved divorce decree or written legal separation agreement to another IRA of the same type, of your spouse), and will not be considered a taxable distribution to you. A transfer is a tax-free direct movement of cash and/or property from one Traditional IRA to another or from one Roth IRA to another.

N. Recharacterizations – If you make a Premium to a Traditional IRA and later recharacterize either all or a portion of the original Premium to a Roth IRA along with net income attributable, you may elect to treat the original Premium as having been made to the Roth IRA. The same methodology applies when recharacterizing a Premium from a Roth IRA to a Traditional IRA. The deadline for completing a recharacterization is your tax filing deadline (including any extensions) for the year for which the original Premium was made. You may not recharacterize a Roth IRA conversion or an employer-sponsored retirement plan rollover.

LIMITATIONS AND RESTRICTIONS

- A. **SEP Plans** – Under a simplified employee pension (SEP) plan that meets the requirements of IRC Sec. 408(k), your employer may make Premiums to your Traditional IRA. Your employer is required to provide you with information that describes the terms of your employer's SEP Plan. No SEP plan contributions may be made to a Roth IRA.
- B. **Spousal IRA** – For Premiums made for tax years beginning before 2020, if you are married and have Compensation, you may make Premiums to a Traditional IRA established for the benefit of your spouse for any year prior to the year your spouse turns age 70½, regardless of whether or not your spouse has Compensation. For Premiums made for 2020 and later tax years, you may make Premiums to an IRA established for the benefit of your spouse regardless of your spouse's age, if you are married and have Compensation. You may make these spousal Premiums even if you are age 70½ or older. You must file a joint income tax return for the year for which the Premium is made.

If you are married and have Compensation, you may make Premiums to a Roth IRA established for the benefit of your spouse, regardless of whether or not your spouse has Compensation, and regardless of your spouse's age. The Roth IRA Premium may be further limited if your MAGI falls within the minimum and maximum thresholds for eligibility. You must file a joint income tax return for the year for which the contribution is made.

The amount of the Premiums you may make to your IRA and your spouse's IRA is the lesser of 100 percent of your combined Compensation or \$12,000 for 2019 and 2020. This amount may be increased with cost-of-living adjustments each year. However, you may not contribute more than the individual Premium limit to each IRA.

If your spouse is age 50 or older by the close of the taxable year, and is otherwise eligible, you may make an additional Premium to your spouse's IRA. The maximum additional Premium is \$1,000 per year.

- C. **Deduction of Rollovers, Transfers, and Conversions** – A deduction is not allowed for rollover, transfer, or conversion Premiums to your IRA.
- D. **Gift Tax** – Transfers of your IRA assets to a Beneficiary made during your life and at your request may be subject to federal gift tax under IRC Sec. 2501.
- E. **Special Tax Treatment** – Capital gains treatment and 10-year income averaging authorized by IRC Sec. 402 do not apply to IRA distributions.
- F. **Prohibited Transactions** – If you or your Beneficiary engage in a prohibited transaction with your IRA, as described in IRC Sec. 4975, your IRA will lose its tax-deferred status. For Traditional IRAs, you must include the value of your account in your gross income for the taxable year you engage in the prohibited transaction. For Roth IRAs, you must generally include the value of the earnings in your account in your gross income for that taxable year. The following transactions are examples of prohibited transactions with your IRA. (1) Taking a loan from your IRA (2) Buying property for personal use (present or future) with IRA funds (3) Receiving certain bonuses or premiums because of your IRA.
- G. **Pledging** – If you pledge any portion of your Traditional IRA as collateral for a loan, the entire balance of the IRA as of January 1 will be deemed distributed and will be included in your gross income for the taxable year in which you pledge the assets. If you pledge your Roth IRA, the entire balance will be deemed distributed and may be included in income if it represents a taxable portion of the Roth IRA (i.e., earnings).

OTHER

- A. **IRS Plan Approval** – The Endorsement used to establish this IRA has been approved by the IRS. The IRS approval is a determination only as to form. It is not an endorsement of the plan in operation or of the investments offered.
- B. **Additional Information** – For further information on IRAs, you may wish to obtain IRS Publication 590-A, *Contributions to Individual Retirement Arrangements (IRAs)*, or Publication 590-B, *Distributions from Individual Retirement Arrangements (IRAs)*, by calling 1-800-TAX-FORM or by visiting www.irs.gov on the Internet.

- C. **Advice** – Although we may provide general information about your IRA Contract, we do not provide tax, or other financial, legal or technical advice. You are urged to contact your own advisor for such guidance.
- D. **Important Information About Procedures for Opening a New Annuity** – To help the government fight the funding of terrorism and money laundering activities, federal law requires all financial organizations to obtain, verify, and record information that identifies each person who opens an annuity. Therefore, when you open an annuity, you are required to provide your name, residential address, date of birth, and identification number. We may require other information that will allow us to identify you.
- E. **Qualified Reservist Distributions** – If you are an eligible qualified reservist who has taken penalty-free qualified reservist distributions from your Roth IRA or retirement plan, you may recontribute those amounts to a Roth IRA generally within a two-year period from your date of return.
- F. **Qualified Charitable Distributions** – If you are age 70½ or older, you may be eligible to take tax-free IRA distributions of up to \$100,000 per year and have these distributions paid directly to certain charitable organizations. Special tax rules may apply. For further detailed information and effective dates you may obtain IRS Publication 590-B, *Distributions from Individual Retirement Arrangements (IRAs)*, from the IRS or refer to the IRS website at www.irs.gov.
- G. **Disaster Related Relief** – If you qualify (for example, you sustained an economic loss due to, or are otherwise considered affected by, certain disasters designated by Congress), you may be eligible for favorable tax treatment on distributions, rollovers, and other transactions involving your IRA. Qualified disaster relief may include penalty-tax free early distributions made during specified timeframes for each disaster, the ability to include distributions in your gross income ratably over multiple years, the ability to roll over distributions to an eligible retirement plan without regard to the 60-day rollover rule, and more. For additional information on specific disasters, including a complete listing of disaster areas, qualification requirements for relief, and allowable disaster-related IRA transactions, you may wish to obtain IRS Publication 590-B, *Distributions from Individual Retirement Arrangements (IRAs)*, from the IRS or refer to the IRS website at www.irs.gov.
- H. **Coronavirus-Related Distributions (CRDs)** – If you qualify, you may withdraw up to \$100,000 in aggregate from your IRAs and eligible retirement plans as a CRD, without paying the 10 percent early distribution penalty tax. You are a qualified individual if you (or your spouse or dependent) is diagnosed with the COVID-19 disease or the SARS-CoV-2 virus in an approved test; or if you have experienced adverse financial consequences as a result of being quarantined, being furloughed or laid off or having work hours reduced due to such virus or disease, being unable to work due to lack of child care due to such virus or disease, closing or reduced hours of a business owned or operated by you due to such virus or disease, or other factors as determined by the IRS. A CRD must be made on or after January 1, 2020, and before December 31, 2020.

CRDs will be taxed ratably over a three-year period, unless you elect otherwise, and may be repaid over three years beginning with the day following the day a CRD is made. Repayments may be made to an eligible retirement plan or IRA.

An eligible retirement plan is defined as a qualified retirement plan, 403(a) annuity, 403(b) tax-sheltered annuity, 457(b) eligible governmental deferred compensation plan, or an IRA.

Privacy Policy

Introduction

At Delaware Life, protecting your privacy is important to us. Whether you are an existing customer or considering a relationship with us, we recognize that you have an interest in how we may collect, use and share information about you.

We understand and appreciate the trust and confidence you place in us, and we take seriously our obligation to maintain the confidentiality and security of your personal information.

We invite you to review this Privacy Policy which outlines how we use and protect that information.

Collection of Nonpublic Personal Information by Delaware Life

Collecting personal information from you is essential to our ability to offer you high-quality investment, retirement and insurance products. When you apply for a product or service from us, we need to obtain information from you to determine whether we can provide it to you. As part of that process, we may collect information about you, known as nonpublic personal information, from the following sources:

- Information we receive from you on applications or other forms, such as your name, address, social security number and date of birth;
- Information about your transactions with us, our affiliates or others, such as other life insurance policies or annuities that you may own; and
- Information we receive from a consumer reporting agency, such as a credit report.

Limited Use and Sharing of Nonpublic Personal Information by Delaware Life

We use the nonpublic personal information we collect to help us provide the products and services you have requested and to maintain and service your accounts. Once we obtain nonpublic personal information from you, we do not disclose it to any third party except as permitted or required by law.

We may share your nonpublic personal information within Delaware Life to help us develop innovative financial products and services. Delaware Life provides a wide variety of financial products and services including individual life insurance, and individual fixed and variable annuities.

We also may disclose your nonpublic personal information to companies that help in conducting our business or perform services on our behalf. Delaware Life is highly selective in choosing these companies, and we require them to comply with strict standards regarding the security and confidentiality of our customers' nonpublic personal information. These companies may use and disclose the information provided to them only for the purpose for which it is provided, as permitted by law.

There also may be times when Delaware Life is required to disclose its customers' nonpublic personal information, such as when complying with federal, state or local laws, when responding to a subpoena, or when complying with an inquiry by a governmental agency or regulator.

Companies that share your information with third parties for marketing purposes must offer their customers an opt-out program. Because we do not share your information with third parties for such purposes or for any reason not allowed by law, an opt-out program is not needed nor required.

Our Treatment of Information about Former Customers

Our protection of your nonpublic personal information extends beyond the period of your customer relationship with us. If your customer relationship with us ends, we will not disclose your information to non-affiliated third parties other than as permitted or required by law.

Security of Your Nonpublic Personal Information

We maintain physical, electronic and procedural safeguards that comply with federal and state regulations to safeguard your nonpublic personal information from unauthorized use or improper access.

Employee Access to Your Nonpublic Personal Information

We restrict access to your nonpublic personal information to those employees who have a business need to know that information in order to provide products or services to you or to maintain your accounts. Our employees are governed by a strict code of conduct and are required to maintain the confidentiality of customer information.

Questions

If you have questions about our privacy practices and policy please contact the Privacy Officer at **Privacy@delawarelife.com**.

All concerns will be handled discreetly and confidentially.

delawarelife.com